Deutsche Bank
Research

Asia
Europe

Consumer
Autos & Auto Technology

Industry
China Autos & Auto Technology

Date
20 August 2026

Industry Update

From Made in China to Made in Europe: Painful Localization Journey Ahead

Bin Wang
Research Analyst
+852-220-35496

Wei Huang
Research Associate
+852-2203-7057

Tim Rokossa
Head of European Equity Research
+49-69-910-31998

Nicolai Kempf
Research Analyst
+49-162-5168792

Nikita Papaccio
Research Analyst
+49-69-910-48637

Modest gains until 2030 but potential for ~20% in the long term

We expect Chinese OEMs' European expansion to continue, although the path is unlikely to be linear. We forecast their combined share of Europe's passenger car market to increase modestly next year from around 12% in 2026 , before declining in 2028 and 2029 following the expected implementation of the Industrial Acceleration Act (IAA). As localisation efforts gain traction around 2030, we believe market share could recover, with Chinese OEMs ultimately capturing a high double-digit share of the European market, partly at the expense of volumes currently held by Japanese and Korean manufacturers as well as other mass market players.

Achieving this will require a painful localization journey. Chinese OEMs will need to invest in European manufacturing capacity, supplier networks, distribution, after-sales service, fleet relationships and residual-value support while absorbing higher capex and operating costs. Localization could also narrow part of the cost and pricing advantage currently enjoyed by Chinese vehicles. However, we expect leading Chinese OEMs to retain structural advantages in product-development speed, technology integration and model iteration, supporting renewed market-share growth once localized operations scale.

EU PHEV Tariffs Could Follow Existing BEV Measures From 2027

According to Reuters, the European Union (EU) is considering imposing additional tariffs on plug-in hybrid electric vehicles (PHEVs) imported from China, which we expect could take effect in 2027. Following the EU's introduction of additional duties of 7.8-35.3% on Chinese battery-electric vehicles (BEVs) in late 2024, on top of the standard 10% import tariff, Chinese OEMs have increasingly shifted their export mix from BEVs toward PHEVs. China's quarterly PHEV exports to the EU increased 6.5x from ~29,000 units in 4Q24 to ~214,000 units in 2Q26, with their share of total vehicle exports rising from 11% to 35%. BYD provides the clearest company-level example, with PHEVs accounting for 56% of its European passenger vehicle sales in 1H26, exceeding the 44% contribution from BEVs.

Rising Chinese OEM Market Share Could Drive Broader European Protection

We expect European policy scrutiny to broaden progressively from BEVs to PHEVs and potentially to hybrid electric vehicles (HEVs) and internal combustion engine

(ICE) vehicles as Chinese OEMs gain market share across powertrains. Chinese OEMs' combined European market share increased from 0.2% in January 2020 to 9.8% in June 2026, while monthly sales rose from 2,075 units to 138,261 units over the same period. Although the EU's initial tariff measures focused on BEVs, subsequent growth across PHEVs, HEVs and ICE vehicles indicates that Chinese OEM competitiveness extends beyond electrification.

In addition to advantages in battery supply, electric powertrains, scale and cost, Chinese models increasingly compete through aggressive pricing, intelligent cockpits, higher equipment levels and faster product iteration. Chinese OEMs also typically offer fewer trims and less individual customization, reducing manufacturing complexity and supporting procurement and assembly efficiency. Continued market-share gains could therefore shift Europe's policy response from powertrain-specific tariffs toward broader measures intended to protect the region's automotive manufacturing and supply-chain footprint.

Localization Is Necessary, but Not Cost-Free

We expect localization to become Chinese OEMs' principal response to rising European trade barriers, initially through asset-light complete knocked-down (CKD) assembly before progressing toward full-process manufacturing and deeper supply-chain localization. Among the four principal workshops in an automotive plant, stamping typically accounts for ~15-20% of capex, body/welding for ~30-35%, painting for ~35-40% and assembly for only ~10-15%. The relatively low investment required for CKD assembly, together with available brownfield capacity in Europe, supports faster market entry through converted plants, joint ventures (JVs) and contract manufacturers.

However, the proposed IAA could reduce the effectiveness of assembly-only localization by linking access to public procurement and financial support to "Made in EU" criteria. Under the current proposal, qualifying vehicles would need to be assembled in the EU, meet a 70% EU-origin threshold for non-battery content and comply with progressively tighter localization requirements for batteries, electric powertrains and electronics. The IAA could therefore shift localization from a customs-origin exercise toward deeper European value creation, requiring higher capex, more localized sourcing and broader participation in European supply chains.

Localization will inevitably dilute part of China's manufacturing cost advantage by exposing OEMs to higher labor, energy, compliance and supplier costs. However, Chinese OEMs' simpler product portfolios, lower configuration complexity, platform sharing and standardized procurement could help preserve some manufacturing efficiency as production moves to Europe.

More Chinese OEMs to Enter Europe Despite Higher Entry Barriers

Higher trade and localization barriers are unlikely to stop Chinese OEMs from entering Europe, although they will increase the cost and complexity of establishing sustainable operations. Spain and Hungary are emerging as the principal destinations for Chinese automotive investment, supported by competitive production costs, established manufacturing infrastructure and comparatively favorable relationships with Chinese investors. Spain offers Europe's second-largest vehicle manufacturing base, an established supplier network and substantial brownfield capacity, while Hungary provides a supportive environment for integrated greenfield investment and related supply-chain localization.

We expect Chinese OEMs' European production footprint to expand rapidly through dedicated plants, brownfield conversions, JVs and partnerships with European automakers over the next few years. Partnership-led models should offer a faster and more capital-efficient initial route by providing access to existing plants, local workforces, supplier networks and distribution infrastructure. Larger OEMs such as BYD and SAIC are also pursuing dedicated greenfield production, providing greater operational control but requiring higher upfront investment. Further market entry and product expansion by Seres, Great Wall Motor, Changan and Xiaomi should broaden Chinese OEM participation, although their European manufacturing and localization plans remain to be confirmed.

Prefer OEMs With Established European Partnerships and Suppliers With Europe Production Bases

We favor OEMs that combine European production with substantive local partnerships, particularly **Leapmotor and Geely**. Leapmotor's Stellantis-led JV and Geely's Ford-led manufacturing JV provide access to existing production capacity, supplier networks, distribution channels and operating expertise while reducing upfront capex and geopolitical risk. Chery's JV with Spain's EV Motors provides a local manufacturing foothold through the revived Ebro brand, but offers fewer localization benefits at this stage. Ebro had ceased vehicle production for an extended period, and its current models are largely based on Chery products and remain dependent on Chery's supply chain. The partnership therefore provides access to an existing plant and local market presence, but does not yet offer the same depth of manufacturing capabilities or localized sourcing as Leapmotor's partnership with Stellantis or Geely's JV with Ford. BYD and SAIC remain well positioned through dedicated EU production, but their greenfield strategies require greater investment and place more responsibility on the OEMs to build localized supply chains independently.

Among auto suppliers, we prefer **Minth, Nexteer, Fuyao Glass and Johnson Electric**. These companies combine established European production or processing capacity with existing supply relationships with leading Chinese OEMs, positioning them to capture incremental content as vehicle production localizes and local-content requirements tighten.

EU PHEV Tariffs Could Follow Existing BEV Measures From 2027

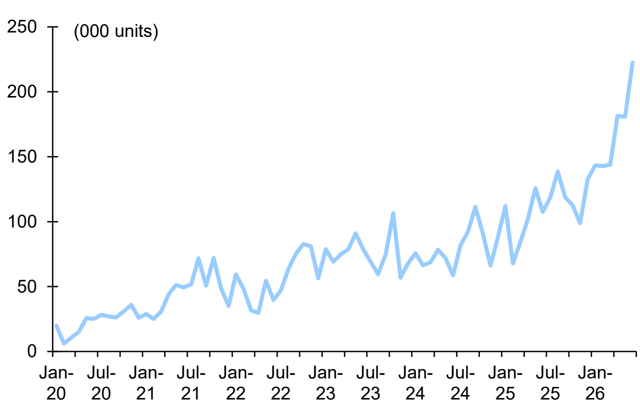
According to Reuters, the EU is considering imposing additional tariffs on PHEVs imported from China, which we expect could take effect in 2027. The potential measure would extend the EU's existing trade protection beyond BEVs. Following an anti-subsidy investigation into China's BEV value chain, the European Commission introduced definitive countervailing duties under Implementing Regulation (EU) 2024/2754 from October 30, 2024. The five-year duties range from 7.8% to 35.3%, on top of the standard 10% import tariff, including 17.0% for BYD, 18.8% for Geely, 35.3% for SAIC and 7.8% for Tesla's Shanghai operations. Other cooperating exporters are subject to a 20.7% duty, while non-cooperating companies face a 35.3% rate. PHEVs, HEVs and ICE vehicles nevertheless remain subject only to the standard 10% import tariff, encouraging Chinese OEMs to shift exports toward other powertrains.

Existing BEV Tariffs Have Redirected Rather Than Stopped Chinese Exports

Rather than stopping Chinese vehicle exports to the EU, the BEV tariffs have primarily redirected growth toward other powertrains. China's vehicle exports to the EU increased 142% from 419,845 units in 1H24 (before the introduction of the definitive duties) to 1,014,659 units in 1H26.

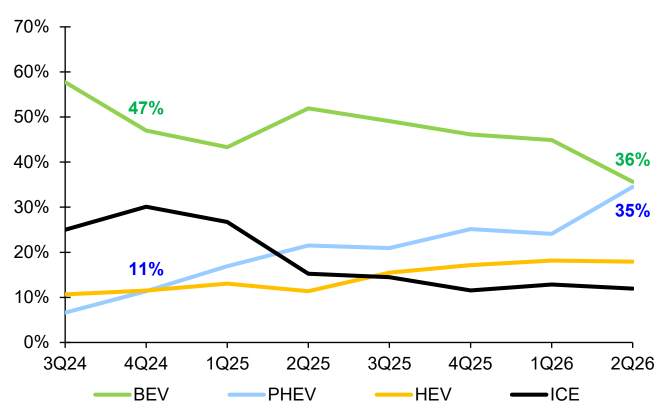
The export powertrain mix nevertheless shifted meaningfully. The BEV share of China's vehicle exports to the EU declined from 47% in 4Q24 to 36% in 2Q26, while the PHEV share rose from 11% to 35%. Although quarterly BEV export volume increased 87% from ~118,000 units to ~221,000 units from 4Q24 to 2Q26, PHEV exports grew substantially faster, rising 6.5x from ~29,000 units to ~214,000 units in the same period. The PHEV share surpassed the BEV share for the first time in May 2026 and widened further to 41% in June, versus 35% for BEVs.

Figure 1: China Vehicle Exports to the EU



Source : Wind, China Customs

Figure 2: Powertrain Mix of China Vehicle Exports to the EU

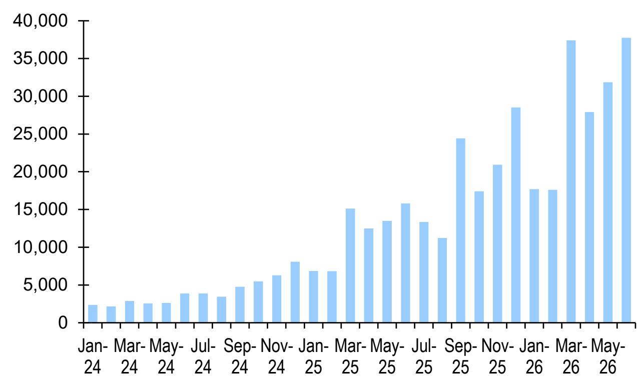


Source : China Passenger Car Association (CPCA)

BYD provides the clearest company-level example of this changing powertrain mix. Its European passenger vehicle sales increased from 48,373 units in 2024 to 186,436 units in 2025, before reaching 170,257 units in 1H26. Over the same period, the BEV share of sales declined from 87% in 2024 to 59% in 2025 and 44%

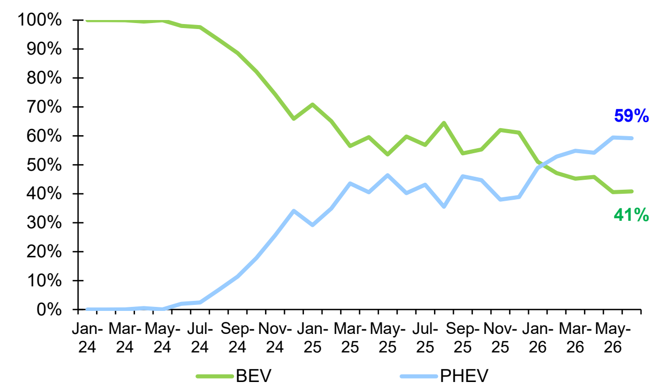
in 1H26, when PHEVs became the majority powertrain at 56%. BYD's European PHEV sales have exceeded BEV sales since February 2026, reaching 22,342 units in June 2026 versus 15,403 BEVs in the same month.

Figure 3: BYD Monthly Passenger Vehicle Sales in Europe



Source : Marklines Note: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

Figure 4: Powertrain Mix of BYD Passenger Vehicle Sales in Europe



Source : Marklines Note: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

Four Potential Routes to Additional PHEV Tariffs

We expect the EU to introduce additional tariffs on Chinese PHEVs in 2027 as imports continue to rise and Chinese OEMs shift their export mix toward PHEVs. According to Rhodium Group, the European Commission could pursue four principal routes, with the eventual choice determining the implementation timeline, scope and potential duty level:

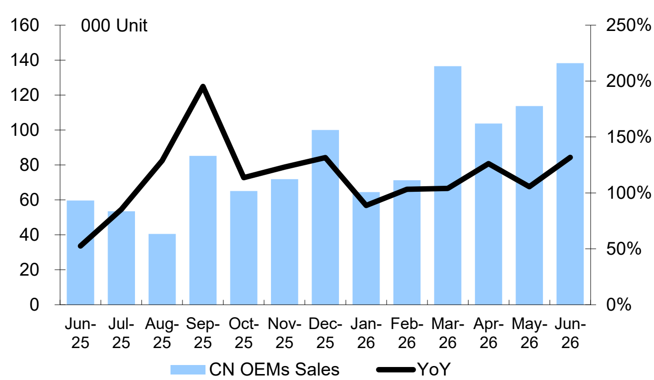
- **Anti-circumvention investigation:** The Commission could extend the existing BEV duties to PHEVs by arguing that Chinese OEMs shifted their export mix to circumvent the measures. This would likely be the fastest route, although the Commission would need to demonstrate that the shift resulted from the BEV tariffs rather than underlying consumer demand for PHEVs.
- **New anti-dumping investigation:** The Commission could establish the normal value of Chinese PHEVs using third-country benchmarks, even where their European selling prices exceed those in China. This route could result in duties in the high double digits or potentially higher, but would represent the most punitive and escalatory option.
- **Separate countervailing-duty investigation:** The EU could launch a new investigation into Chinese subsidies for PHEVs. This route would likely take longer and could result in lower duties than the BEV case, given the smaller battery content of PHEVs and potential limitations on reconsidering subsidies already examined in the existing investigation.
- **Safeguard measures:** The EU could impose temporary duties if rapidly rising PHEV imports are found to cause or threaten serious injury to European producers. However, safeguards would generally apply on a most-favored-nation basis, affecting imports from Japan, Türkiye and the US in addition to China. This makes safeguards less targeted despite China accounting for ~45% of EU PHEV imports.

The European Commission has yet to reach consensus on the preferred route, reflecting concerns over legal feasibility, effectiveness and potential Chinese retaliation. Nevertheless, continued growth in Chinese PHEV imports should strengthen the case for additional measures, supporting our expectation of implementation in 2027.

Rising Chinese OEM Market Share Could Drive Broader European Protection

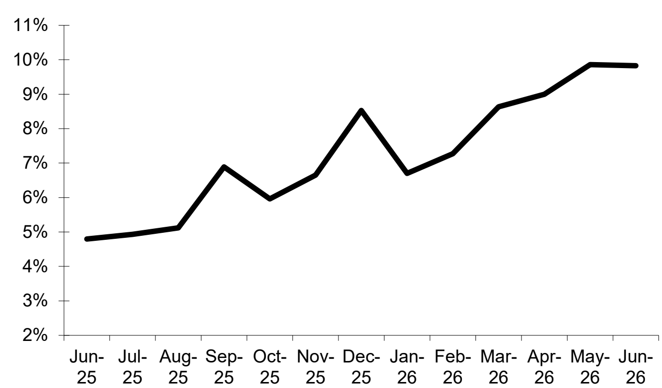
The potential extension of tariffs to PHEVs may represent only the next stage of Europe's policy response. As Chinese OEMs continue to gain share across powertrains, we expect European scrutiny to broaden beyond individual technologies toward their wider competitive impact on the region's automotive industry. Chinese OEMs' combined European market share increased from 0.2% in January 2020 to 9.8% in June 2026, while monthly sales rose from 2,075 units to 138,261 units over the same period. Although the EU's initial measures focused on Chinese BEVs, subsequent growth across PHEVs, HEVs and ICE vehicles suggests that Chinese OEM competitiveness increasingly extends across the wider passenger vehicle market.

Figure 5: Chinese OEM Monthly Passenger Vehicle Sales in Europe



Source : Marklines Note: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

Figure 6: Chinese OEM Passenger Vehicle Market Share in Europe



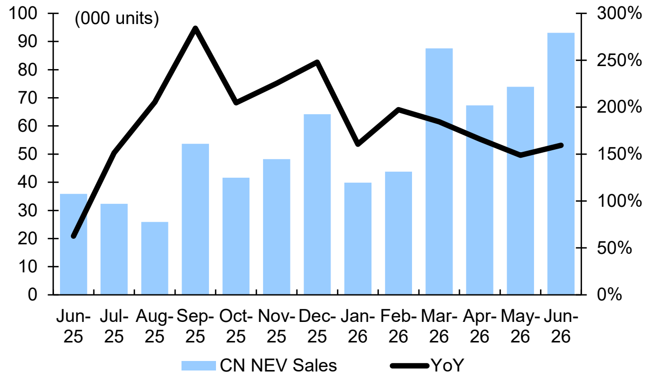
Source : Marklines Note: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

Chinese OEM Penetration Is Even Higher in NEVs

Chinese OEM penetration is even higher within Europe's passenger new energy vehicle (NEV) market, comprising BEVs, PHEVs and fuel-cell vehicles (FCVs). Chinese OEM passenger NEV sales in Europe increased from 9,757 units in January 2024 to 93,056 units in June 2026, lifting their combined NEV market share from 5% to 19% over the same period. This compares with their 9.8% share of the overall European passenger vehicle market in June 2026, highlighting Chinese OEMs' stronger competitive position in new energy vehicles.

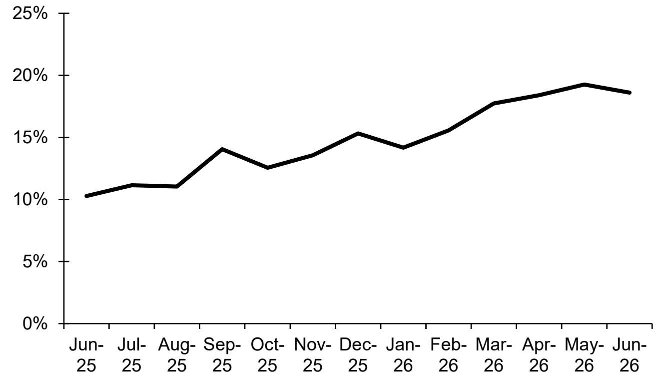
While Chinese OEMs' initial NEV expansion was predominantly driven by BEVs, the rapid introduction of PHEVs has broadened their addressable market and created a second major growth engine. PHEVs also allow Chinese OEMs to target consumers that remain concerned about charging infrastructure or pure-electric driving range.

Figure 7: Chinese OEM Monthly Passenger NEV Sales in Europe



Source : MarklinesNote: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

Figure 8: Chinese OEM Passenger NEV Market Share in Europe



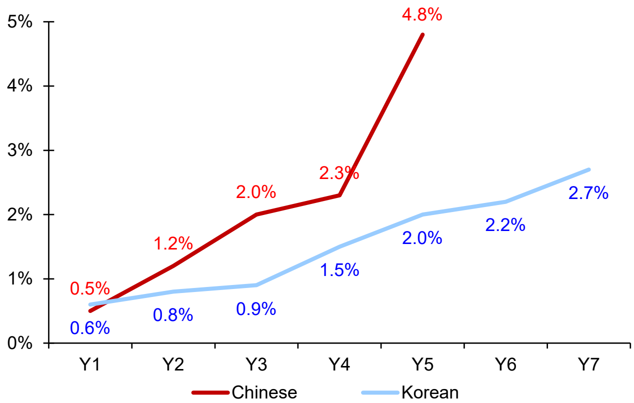
Source : MarklinesNote: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

Chinese Automaker Expansion Has Outpaced Historical Japanese and Korean Entries

Chinese automakers have gained European market share substantially faster than Japanese and Korean OEMs did following their respective market entries. Japanese OEMs began expanding in Europe during the 1970s, while Korean OEMs followed in the 1990s. During the first five years after market entry, Chinese OEMs increased their combined share in the EU and UK from 0.5% to 4.8%, compared with an increase from 0.6% to 2.0% for Korean OEMs. The UK comparison shows a similar trend. Chinese OEMs' market share rose from 0.5% in the first year after entry to 13.2% in the eighth year, exceeding the 10.2% reached by Japanese OEMs over the corresponding period.

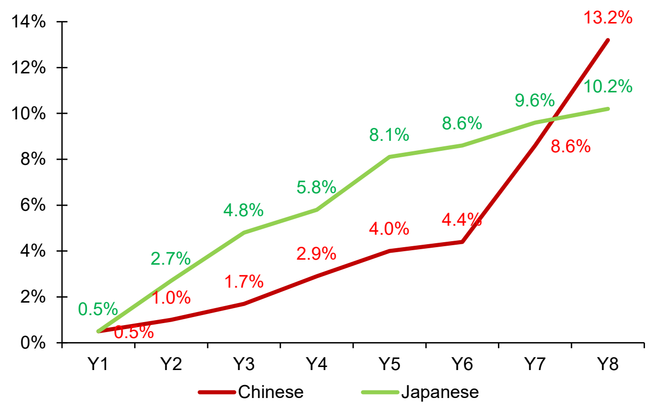
Several structural factors support this faster trajectory. More Chinese OEMs are entering Europe concurrently, bringing a wider range of brands and products than previous Asian entrants offered at comparable stages. Chinese automakers also have substantial domestic production capacity, allowing exports to scale quickly, while the limited accessibility of the US market has increased Europe's strategic importance. Chinese OEMs can also draw on established domestic supply chains and rapid product-development cycles developed through intense competition in China.

Figure 9: Market Share of Chinese and Korean OEMs in the First Years of Market Entry (EU+UK)



Source : Rhodium Group, Marklines, SMMT. Note: Y1 represents the first year after market entry

Figure 10: Market Share of Chinese and Japanese OEMs in the First Years of Market Entry (UK)



Source : Rhodium Group, Marklines, SMMT. Note: Y1 represents the first year after market entry

Aggressive Pricing Remains a Key Driver of Market-Share Gains

Competitive pricing remains a key driver of Chinese OEM market-share gains in Europe. Our comparison of broadly equivalent BYD and Volkswagen models in Germany indicates that BYD typically offers discounts equivalent to 16-32% of MSRP, compared with 0-12% for the selected Volkswagen models.

This results in a meaningful transaction-price advantage across several segments. For example, the BYD "Dolphin Surf" Active is priced at EUR 16,990 after discounts, 32% below the Volkswagen "ID. Polo" Trend at EUR 24,995, despite offering a slightly longer stated range. The pricing gap is particularly pronounced for PHEVs, with the BYD "Seal 6 DM-i Touring" and "Seal U DM-i" priced 34-42% below the selected Volkswagen "Passat" and "Tiguan" PHEVs. The comparison is less uniform in larger BEV segments, particularly where Volkswagen applies more substantial incentives, but BYD generally remains competitive while offering comparable or longer range. Chinese OEMs' pricing advantage therefore reflects both lower MSRPs and more aggressive manufacturer-funded discounts intended to accelerate European market penetration.

Figure 11: BYD vs. Volkswagen Model Pricing Comparison in Germany

(in EUR)	Model	WLTP Pure Electric Range (km)	MSRP	Discount	Transaction Price	Discount as % of MSRP
Battery Electric Vehicles (BEV)						
BYD	Dolphin Surf "Active"	356	22,990	6,000	16,990	26%
VW	ID. Polo "Trend"	334	24,995		24,995	0%
VW	ID. Polo "Life"	331	29,195	3,000	26,195	10%
BYD	Dolphin "Comfort"	427	33,990	6,950	27,040	20%
VW	ID.3 Neo "Trend"	417	33,995	4,000	29,995	12%
BYD	ATTO 2 "Comfort"	430	41,990	10,000	31,990	24%
VW	ID. Cross "Life"	427	36,525	3,500	33,025	10%
BYD	ATTO 3 EVO "Design"	510	44,990	9,000	35,990	20%
VW	ID.4 "Pure mit Infotainment-Paket"	438	42,915	5,000	37,915	12%
BYD	Seal "Comfort"	460	47,990	9,650	38,340	20%
BYD	Seal "Design"	570	49,990	9,000	40,990	18%
VW	ID.7 "Pro"	599	54,505	6,000	48,505	11%
BYD	Sealion 7 "Comfort"	482	49,990	7,950	42,040	16%
VW	ID.5 "Pure mit Infotainment-Paket"	450	45,695	5,000	40,695	11%
VW	ID.5 "Pro mit Infotainment-Paket"	571	51,790	5,000	46,790	10%
BYD	Tang	530	75,000	21,010	53,990	28%
Plug-in Hybrid Electric Vehicles (PHEV)						
BYD	Dolphin G DM-i "Active"	40	28,990	8,500	20,490	29%
BYD	ATTO 2 DM-I "Active"	40	35,990	11,500	24,490	32%
BYD	Seal 6 DM-i Touring "Boost"	50-55	42,990	12,000	30,990	28%
BYD	Seal 6 DM-i Touring "Comfort"	100-105	49,990	16,000	33,990	32%
VW	Passat "Trend 1.5 eHybrid OPF"	133-135	53,490		53,490	0%
BYD	Seal U DM-i "Boost"	70-80	39,990	6,500	33,490	16%
BYD	Seal U DM-i "Comfort"	120-125	42,990	7,800	35,190	18%
VW	Tiguan "Life 1.5 eHybrud"	111-125	53,735		53,735	0%

Source : BYD, VW Note: Discounts exclude German government subsidies

Chinese Competitiveness Extends Beyond Pricing and Electrification

Lower pricing alone does not fully explain the pace of Chinese OEM expansion. Chinese models increasingly combine competitive transaction prices with intelligent cockpits, higher equipment content and faster product iteration. These attributes were initially most visible in BEVs but can also be deployed across PHEVs, HEVs and ICE vehicles.

This combination of price and product competitiveness could make tariffs targeting individual powertrains progressively less effective. Tariffs may redirect Chinese OEMs toward alternative powertrains, but do not directly address their advantages in vehicle technology, equipment content and development speed. Sustained market-share gains could therefore shift European policy from protection against subsidized Chinese BEVs toward broader measures intended to support the competitiveness and manufacturing footprint of Europe's automotive industry.

Consumer Openness Supports Further Share Gains Despite Domestic Brand Loyalty

Domestic brand loyalty should slow, but is unlikely to prevent, Chinese OEM market-share gains. BCG's 2025 consumer survey found that 10-20% of European respondents would consider purchasing a vehicle made in China, including 19% in Spain, 18% in Norway, 16% in Germany, 15% in the UK, 14% in Italy, 11% in the Netherlands and 8% in France. This indicates a meaningful addressable customer base relative to Chinese OEMs' current market penetration.

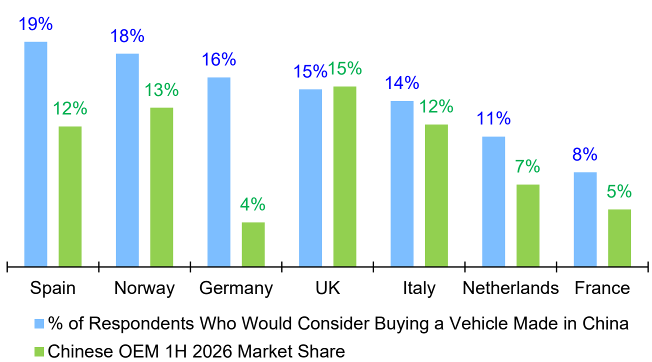
The variation across countries suggests that adoption will be uneven, with faster gains in markets that are more open to China-made vehicles and slower penetration where domestic-brand loyalty and political resistance are stronger. Capturing a portion of consumers already open to China-made vehicles, supplemented by improved brand awareness, product availability and local distribution, would support further market-share growth.

European brand loyalty is meaningful but does not appear insurmountable. Only 36% of European mass-market owners and 38% of premium owners intend to repurchase their current brand, implying that more than 60% are open to switching.

Even in Germany, where loyalty was highest among the surveyed countries, only 47% of mass-market customers and 53% of premium customers planned to repurchase their existing brand.

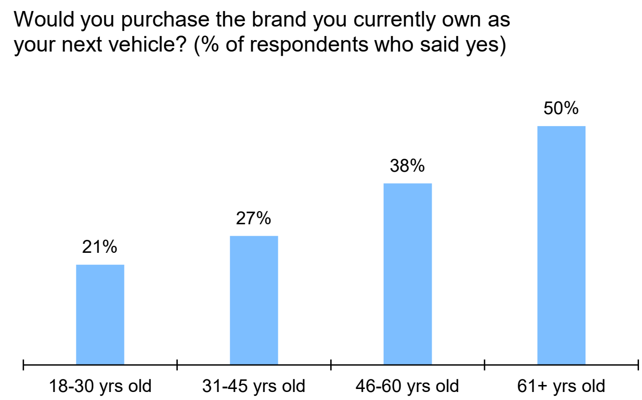
Loyalty also declines materially among younger buyers. Only 21% of European consumers aged 18-30 intend to repurchase their current brand, compared with 27% among those aged 31-45, 38% among those aged 46-60 and 50% among those aged 61 or older. Europe's average new-vehicle buyer is currently in the early fifties, which helps explain the resilience of incumbents today. However, the lower brand loyalty of younger cohorts should progressively reduce the barrier to entry for Chinese OEMs.

Figure 12: European Consumer Openness to China-Made Vehicles vs. Chinese OEM Market Share



Source : NielsenIQ-GfK, Boston Consulting Group "Worldwide Automotive and Mobility Barometer 2025"

Figure 13: Brand Loyalty Increases With Age Among European Car Buyers



Source : NielsenIQ-GfK, Boston Consulting Group "Worldwide Automotive and Mobility Barometer 2025"

Market-Share Gains Likely to Concentrate in the Mass Market

We do not believe the entire European market is equally addressable for Chinese OEMs as Chinese OEM market-share gains are likely to be concentrated initially in Europe's mass-market segments. In this segment, the competitive overlap is greatest and purchasing decisions are more sensitive to price, equipment content and total cost of ownership. Chinese models increasingly compete directly with Volkswagen Group's volume brands, Renault, selected Stellantis brands and most pronounced Ford as well as Japanese and Korean OEMs. Premium European automakers should benefit from stronger brand equity, customer loyalty and differentiated positioning, although they are unlikely to remain fully insulated as Chinese brands broaden their portfolios and move into higher price points.

Premium segments appear likely to remain relatively resilient due to stronger brand equity, customer loyalty, corporate-fleet relationships and established residual-value performance. We therefore believe Chinese OEMs will initially compete for a subset of the market that is skewed toward volume and upper-volume segments, implying that their eventual share of the truly addressable market could be significantly higher than their share of the total market. A broad definition of the EU premium market comprises of around 2.7m units or 21% in relative terms.

We do not expect incumbent share losses to be distributed evenly. European brands benefit from established dealer and service networks, captive-finance platforms, corporate-fleet relationships and customer familiarity, providing some resilience in their domestic markets. Chinese OEMs may therefore initially displace other foreign manufacturers, particularly Japanese and Korean automakers, before taking proportionately greater share from European champions.

Within Europe, we consider the UK as very attractive for Chinese OEMs given the absence of EU tariffs on Chinese-made vehicles, supportive EV incentives, and limited domestic automotive industry. Chinese manufacturers have also been able to rapidly establish dealer networks and benefit from growing consumer acceptance of new brands. As a result, Chinese brands have gained significantly more traction in the UK than in continental Europe, making the market a natural entry point for further expansion.

Residual Values and Fleet Acceptance Remain Key Demand-Side Tests

Europe's used-car market is multiple times larger than the new-car market. As a result, long-term success depends not only on new-vehicle competitiveness but also on residual values, customer retention and the ability to maintain demand across multiple ownership cycles.

Competitive products and transaction prices can support initial sales, but sustainable European market share will also depend on residual values, leasing economics and second-hand demand. These factors are particularly important because corporate fleets account for ~60% of EU new-car demand, while lease payments depend heavily on expected resale values. Chinese OEMs' relatively limited operating histories in Europe, smaller after-sales networks and shallower used-car markets could lead leasing companies and fleet operators to apply more conservative residual-value assumptions, partly offsetting the benefit of lower retail prices.

Rapid product iteration presents both an advantage and a potential challenge. Frequent model updates, software improvements and technology upgrades strengthen Chinese OEM competitiveness in the new-car market, but could shorten the perceived technology life of existing vehicles and pressure used-car values. Chinese OEMs must therefore build not only sales volume, but also a sustainable ownership ecosystem encompassing financing, servicing, parts availability, remarketing and customer retention. European partnerships and localization should help accelerate this process, but residual-value performance will become more visible as the first substantial cohorts of Chinese fleet and rental vehicles enter the used-car market after two to three years.

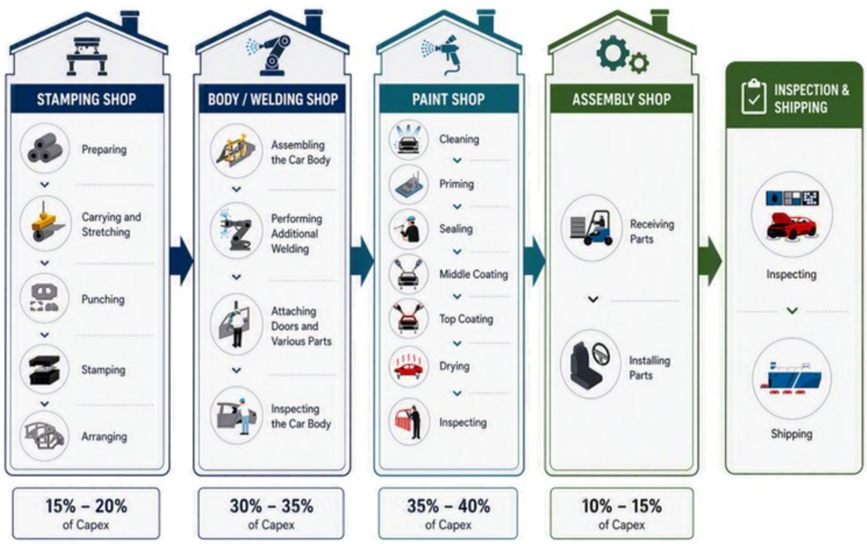
Localization Is Necessary, but Not Cost-Free

European localization is becoming necessary for Chinese OEMs to mitigate trade barriers, preserve access to public support and build sustainable regional operations. However, the transition from China-based exports to European production will require substantially greater capital, deeper local sourcing and longer implementation timelines. We expect Chinese OEMs initially to favor partnership-led and asset-light production models (like CKD assemble), but the proposed Industrial Accelerator Act (IAA) could progressively shift the definition of localization from assembly toward European industrial value creation.

CKD Assembly Offers an Asset-Light Route to European Production

CKD assembly represents the least capital-intensive stage of vehicle manufacturing and can be introduced relatively quickly at an existing plant. Among the four principal workshops in an automotive factory, stamping typically accounts for ~15-20% of capex, body/welding for ~30-35%, painting for ~35-40% and assembly for only ~10-15%. Avoiding the three upstream workshops can therefore materially reduce the initial investment required to establish European production.

Figure 14: Capex Breakdown Across the Four Principal Automotive Workshops



Source : Toyota, Copilot, Deutsche Bank

This cost structure, together with available capacity across Europe's automotive manufacturing base, supports the use of brownfield plants, JVs and contract manufacturers. Existing facilities can be converted more rapidly than greenfield plants, while cooperation with European automakers or contract assemblers provides access to established workforces, utilities, logistics and permitting. Depending on the production process and resulting customs-origin classification, local assembly could also mitigate additional duties on complete-built-unit (CBU) vehicles imported directly from China.

However, CKD assembly provides limited European value added if major vehicle systems and kits continue to be imported from China. Its long-term effectiveness will therefore depend on whether the assembly process satisfies evolving European local-content and industrial-policy requirements, such as IAA.

Partnership-Led Localization Offers the Fastest Initial Route

Chinese OEMs are likely to favor capital-light localization models where regulatory requirements allow. Brownfield plants, JVs and contract manufacturing provide access to existing factories, trained workforces, supplier networks, distribution channels and local operating expertise, lowering upfront capex and shortening time to market compared with greenfield investment.

Current examples include Leapmotor's Stellantis-led JV (51:49 stake split), Chery's partnership with EV Motors in Spain (40:60 stake split), Geely's manufacturing JV with Ford (34:66 stake split) and lower-volume assembly by Magna for XPeng and GAC. These structures could also reduce execution and geopolitical risk by embedding Chinese OEMs more deeply within European industrial ecosystems.

However, partnership models differ materially in localization depth. A JV operating a full-process plant and sourcing European components could satisfy future industrial-policy requirements, while low-volume assembly of imported kits may not. We therefore expect partnership-led localization to remain the preferred initial route, but production scope and local value added will become more important than ownership structure alone.

Larger OEMs will continue to pursue selected greenfield projects where scale justifies the investment. BYD and SAIC provide the clearest examples, with dedicated plants offering greater operational control and a stronger foundation for integrated production. Greenfield manufacturing is nevertheless likely to remain concentrated among the largest and most committed Chinese OEMs because of its higher capital requirements and longer ramp-up periods.

Figure 15: Illustration of the BYD factory in Szeged Hungary

Source : BYD, Szeged Event and Media Center Szeged.hu

The IAA Could Raise the Threshold for Effective Localization

The proposed IAA represents a significant shift in EU industrial policy from relying primarily on border tariffs toward using public spending, incentives and investment conditions to support European manufacturing. The European Commission published the proposal on March 4, 2026 as part of the Clean Industrial Deal and in response to the Draghi report's recommendations on European competitiveness. The IAA covers energy-intensive industries, the automotive value chain and net-zero technologies, with the broader objective of increasing manufacturing's share of EU GDP from 14.3% in 2024 to 20% by 2035. The proposal remains subject to approval by the European Parliament and Council, with the EU targeting an agreement by end-2026 and implementation expected from 2027 at the earliest. We expect the principal impact on automotive demand and Chinese OEM market share to emerge from 2028 as the relevant support and localization requirements begin to take effect.

Rather than restricting the sale of non-compliant products, the IAA would use public procurement and financial support to create demand for low-carbon and European-made products. In the automotive sector, this could link access to public procurement, consumer subsidies, corporate-fleet support and CO2 super-credits for qualifying NEVs to "Made in EU" criteria. The proposal would also impose conditions on certain large foreign investments in strategic sectors, simplify industrial permitting and require member states to establish Industrial Acceleration Areas.

The IAA Shifts the Debate From Assembly to European Value Creation

The next phase of European industrial policy is likely to focus less on whether a vehicle is assembled locally, and more on how much value is created within Europe. While CKD assembly can address certain tariff and customs-origin considerations, access to procurement, subsidies, fleet support and other financially advantaged demand channels could increasingly depend on European content across batteries, electric powertrains, electronics and the wider component supply chain.

If enacted broadly in its current form, the IAA would therefore raise the threshold for effective localization. Chinese OEMs could no longer rely on importing most major systems from China and adding only final assembly in Europe. Qualifying for support could require deeper manufacturing processes, greater local supplier content and European production or sourcing of battery, electric-powertrain and electronics components. Localization would become a question of industrial value creation rather than assembly location alone.

Five Key IAA Impacts on the Automotive Value Chain

We identify five principal mechanisms through which the proposed IAA could affect Chinese OEMs and the broader European automotive value chain:

- **Low-carbon material requirements:** The IAA would introduce minimum low-carbon requirements for selected materials used in publicly supported vehicles, including steel and aluminum. Compliance would depend not only on where a vehicle is assembled, but also on the carbon intensity and origin of key upstream materials.
- **Phased "Made in EU" requirements for vehicles:** The IAA would link public procurement and financial support to detailed EU production and content requirements. Six months after the regulation enters into force, qualifying EVs would need to be assembled in the EU, source three qualifying battery components from the EU, including battery cells, and meet a 70% EU-origin threshold for non-battery content. After three years, the battery requirement would increase to five qualifying components, including battery cells, cathode active material and battery-management systems. The 70% non-battery threshold would remain, but would include minimum 50% EU-origin requirements for electric powertrain components and major electronic systems.
- **Conditions on strategic foreign investment:** The IAA would introduce additional conditions for investments exceeding EUR 100 million in selected strategic sectors where the investor's home country controls more than 40% of global manufacturing capacity. Potential requirements include EU majority ownership, intellectual-property and know-how licensing, local R&D spending of at least 1% of annual revenue, EU workers representing at least 50% of the workforce and at least 30% EU-sourced inputs.
- **Faster and more coordinated permitting:** The IAA would introduce digital permitting, a single national access point and coordinated application procedures for industrial manufacturing projects. Clearer timelines could shorten implementation cycles and reduce administrative uncertainty.
- **Industrial Acceleration Areas:** Member states would be required to designate dedicated areas for strategic manufacturing projects.

Companies investing within these areas could benefit from faster permitting, improved infrastructure coordination and better access to financing, skills and supporting industrial ecosystems.

Figure 16: Proposed IAA Measures Link EU Public Support to Local Content and Deeper Localization

<table>
<tr><th>EU Car Demand Channels</th><th>Private Market (~38%)</th><th>Corporate Fleets (~60%)</th><th>Public Procurement (<2%)</th></tr>
<tr><td>Relevant Public Support</td><td>Consumer Purchase Subsidies</td><td>Corporate-Fleet Tax Incentives</td><td>Public Procurement</td></tr>
<tr><td rowspan="5">Key Proposed IAA Mechanisms</td><td colspan="3">Low-Carbon Material Requirements
Minimum low-carbon requirements for automotive steel and aluminum used in publicly supported vehicles.</td></tr>
<tr><td colspan="3">Phased “Made in EU” Requirements
• <u>After six months:</u> EU assembly, three EU-origin battery components including cells, and 70% EU-origin non-battery content.
• <u>After three years:</u> five EU-origin battery components including cells, CAM and BMS, plus at least 50% EU-origin e-powertrain components and 50% of major electronic systems.</td></tr>
<tr><td colspan="3">Conditions on Strategic Foreign Investment
For qualifying investments above EUR 100 million from countries controlling >40% of global capacity: potential EU majority ownership, IP licensing, ≥1% local R&D, ≥50% EU workers and ≥30% EU inputs.</td></tr>
<tr><td colspan="3">Faster and More Coordinated Permitting
Digital, single-access-point permitting with coordinated procedures and defined approval timelines.</td></tr>
<tr><td colspan="3">Industrial Acceleration Areas
Dedicated manufacturing zones offering faster permitting and improved infrastructure, financing and skills support.</td></tr>
</table>

Source : Rhodium Group, EU Commission, Deutsche Bank

CKD Assembly May No Longer Be Sufficient

The proposed content requirements would establish a substantially higher localization threshold than CKD assembly. A vehicle assembled in Europe from imported kits may establish European production and satisfy certain customs-origin requirements, but could still fail to qualify for public support if most components, batteries and electric powertrains originate in China.

Compliance would likely require localization upstream into stamping, body/welding and painting, alongside increased European sourcing of batteries, powertrains, electronics and other components. This would raise capex, production complexity and implementation lead times. Brownfield plants, JVs and contract-manufacturing arrangements could remain viable, but only where their production processes and supply chains are upgraded sufficiently to meet the proposed thresholds.

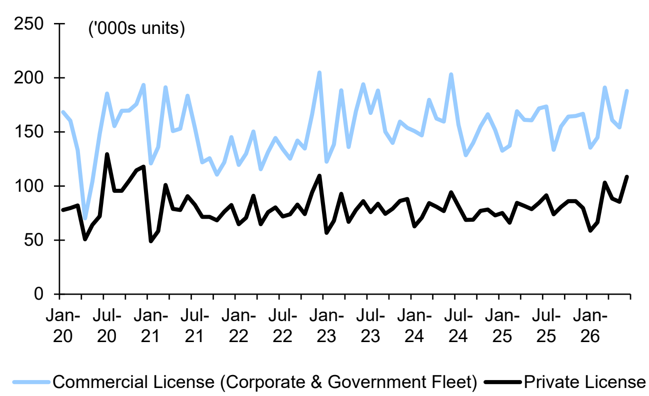
Corporate Fleets Represent the Most Important Demand Channel

Public procurement is unlikely to have a material direct impact on vehicle demand, as it represents less than 2% of the EU passenger vehicle market. By contrast, the related Corporate Fleet proposal could be considerably more consequential, given that corporate fleets account for ~60% of EU new-car demand and represent an important market-entry channel for Chinese OEMs. This exposure is evident in Germany, where commercial customers accounted for 63% of BYD’s new passenger vehicle registrations in 1H26, versus 37% for private customers. The concentration was even higher for SAIC, with commercial customers accounting for 72% and private customers for 28%.

From 2028 onward, member states would only be permitted to provide financial support to corporate fleets where that support benefits qualifying low-emission, EU-made vehicles. Corporate EV tax advantages average ~EUR 1,500 annually across major member states and reach ~EUR 3,500 annually in Germany. Excluding non-compliant Chinese vehicles from these benefits could materially weaken their total-cost-of-ownership proposition.

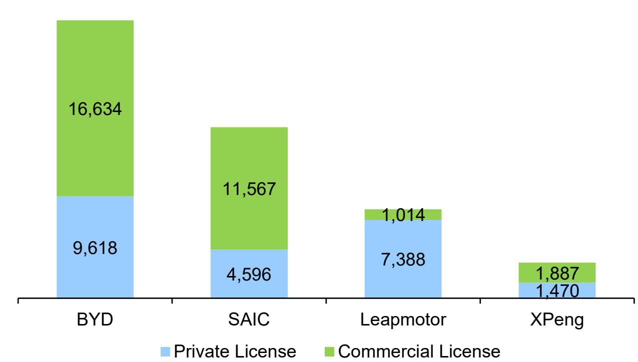
However, implementation remains uncertain given opposition from European automakers, industry associations and several member states to the proposed fleet-electrification targets and EU-origin requirements.

Figure 17: New Registrations of Passenger Vehicles by Owner Groups in Germany



Source : Federal Motor Transport Authority (KBA)

Figure 18: Chinese OEM New Passenger Vehicle Registrations in Germany by Owner Group in 1H26



Source : Federal Motor Transport Authority (KBA)

Subsidy Access Is the Key Lever in the Private Market

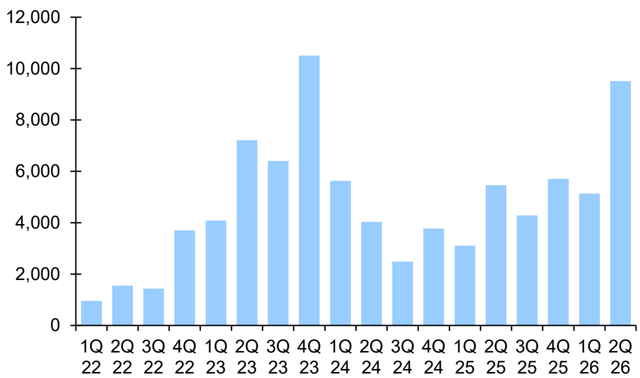
Private customers account for ~38% of EU passenger vehicle demand, making consumer purchase subsidies the principal policy lever in this segment. France's bonus écologique provides an early indication of the potential impact. Since December 2023, eligibility has incorporated lifecycle carbon-emission criteria covering vehicle production and transportation, effectively excluding most EVs manufactured in East Asia.

China-made EVs' share of the French BEV market subsequently declined from 10.5% in 4Q23 to 4.7% in 4Q25. Applying comparable criteria more broadly across the EU could materially disadvantage Chinese imports without preventing their sale.

However, the impact would vary by country because only around half of EU member states offer purchase support and existing schemes cover only part of private demand. Germany's EUR 3 billion EV incentive program for 2026-29 is expected to support ~800,000 vehicles, equivalent to ~20% of private demand but only ~7% of the country's total passenger vehicle market.

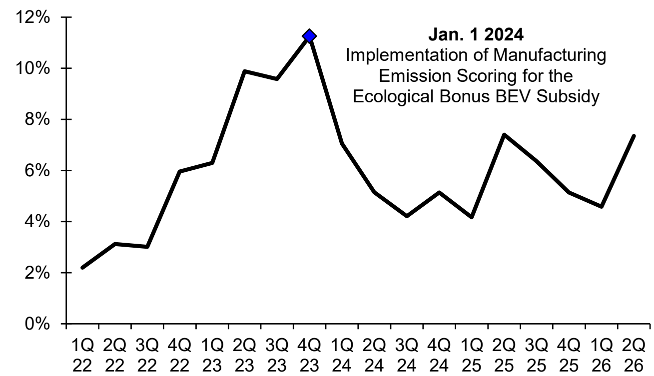
Taken together, the IAA and related measures would not prohibit Chinese OEMs from selling vehicles in the EU. Instead, the measures would direct public money and fiscal incentives toward vehicles generating greater European manufacturing value. The key question for Chinese OEMs is therefore no longer simply whether to assemble vehicles in Europe, but whether to localize enough manufacturing and sourcing to qualify as "Made in EU" and retain access to financially advantaged demand channels.

Figure 19: Sales Volume of Chinese Passenger BEVs in France



Source : Marklines

Figure 20: Market Share of Chinese Passenger BEVs in France



Source : Marklines

Localization Dilutes Part of China's Cost Advantage

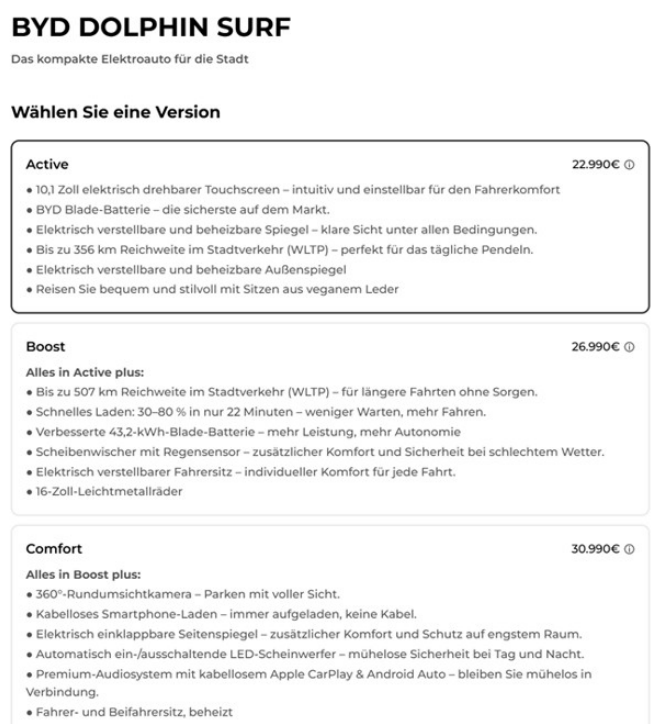
Localization will help Chinese OEMs mitigate tariffs, qualify for public support and improve political acceptance, but it will also dilute part of the cost advantage underpinning their global competitiveness. Chinese vehicle production currently benefits from dense supplier clusters, vertically integrated battery ecosystems, substantial domestic scale, comparatively low labor and energy costs and rapid coordination across manufacturing and product development. Replicating more of this value chain in Europe will expose OEMs to higher labor, energy, compliance and supplier costs.

The extent of this dilution will depend on location and production model. Spain and Central and Eastern Europe offer materially lower automotive labor costs than Germany, France and Italy, while brownfield plants and partnerships can reduce initial capital requirements. Nevertheless, even lower-cost European locations are unlikely to replicate the full economics of China's integrated vehicle and battery ecosystem. Chinese OEMs may therefore accept lower margins during the localization ramp-up, raise European prices or pursue further cost reductions through platform sharing, procurement efficiencies and localized sourcing.

Chinese OEMs' relatively standardized product strategies could help offset some of this cost pressure. Compared with European automakers that traditionally offer extensive combinations of individual options, Chinese OEMs generally provide fewer trims and more limited customization, with equipment bundled into a small number of progressively specified versions. The BYD "Dolphin Surf," for example, offers three fixed trims, "Active," "Boost" and "Comfort," with relatively limited choices for exterior color, interior color and wheels. By comparison, the Volkswagen "ID. Polo" combines three principal trims with a wider selection of exterior colors, wheels and optional interior, ADAS, infotainment, comfort and technology packages.

Lower variant complexity simplifies procurement, production planning and assembly by enabling common wiring harnesses, seat modules, electronic systems and other components to be used across larger production batches. This reduces line-side inventory, component changeovers, quality-control complexity and the risk of assembly errors, while increasing purchasing volumes for standardized parts. These benefits should be largely transferable to European production and could help Chinese OEMs preserve part of their manufacturing efficiency despite higher local labor and operating costs. Volkswagen's own plans to reduce its model range and variants also illustrate the potential cost benefits of simplifying product portfolios.

Figure 21: BYD "Dolphin Surf" Customization Options



Source : BYD Website https://www.byd.com/de

Figure 22: VW "ID. Polo" Customization Options

Source : VW Website https://www.volkswagen.de/de/modelle.html

The Current Footprint Appears Only the Beginning

One of the key questions for investors is whether the currently announced localization projects are sufficient to support the long-term market-share ambitions discussed by the industry. Europe remains a market of roughly 13 million passenger vehicles annually. The projected double digit market share for Chinese OEMs would imply approximately ~2-3 million vehicle sales per year. By contrast, the currently visible localization footprint only accounts for a few hundred thousand units of annual production capacity across announced greenfield projects, joint ventures and contract-manufacturing arrangements. Existing projects such as BYD's Hungary plant, Chery's Barcelona operation, Geely-Ford JV in Valencia, Leapmotor's cooperation with Stellantis, and SAIC's planned Spanish production footprint therefore appear more likely to represent the beginning of the localization journey rather than the end-state.

This creates an important implication. If future European industrial policy increasingly favors localized production and local-content requirements, Chinese OEMs would likely need to announce a substantially larger manufacturing footprint over the coming decade than is currently visible today. In our view, investors should therefore focus less on the currently announced factories and more on the next wave of localization projects that may be required if Chinese OEMs are ultimately to achieve a double-digit share of the European market.

Viewed through this lens, the debate is no longer whether Chinese OEMs will build factories in Europe. The more important question is how much European capacity they ultimately need to build, acquire or partner for in order to achieve their long-term ambitions and also what this would mean for a market that anyway already has too much capacity to begin with. If confirmed, we can see that vision already makes it less attractive for some OEMs to enter.

Technology and Product Advantages Should Prove More Durable

We do not view Chinese OEM competitiveness as solely a function of manufacturing cost. Leading Chinese automakers also benefit from shorter development cycles, faster model refreshes, vertically integrated EV capabilities, advanced electronic architectures and rapid deployment of software, intelligent-cockpit and ADAS features. These organizational and ecosystem advantages should be more portable than China’s cost base and could remain meaningful as production localizes.

The critical question is therefore not whether localization narrows the manufacturing cost gap, as we expect it will, but whether European OEMs can replicate the speed and integration of China’s automotive ecosystem. We expect only partial convergence. European incumbents should improve product competitiveness and software capabilities, but Chinese OEMs are also continuing to develop rapidly. Europe localization may therefore reduce Chinese auto makers' pricing advantage without eliminating their advantages in product iteration, technology integration and time to market.

Localization Creates Time for European OEMs, but May Not Close the Gap

Higher local-content thresholds and multi-year investment cycles will slow Chinese OEM expansion and provide European incumbents with additional time to respond. European OEMs can use this window to accelerate product launches, improve software capabilities, reduce costs and narrow selected technology gaps. Their established brands, dealer and service networks, fleet relationships and financing platforms should also support greater resilience than many foreign incumbents experienced during China’s rapid domestic market shift.

However, additional time does not guarantee that the competitive gap will close. Chinese OEMs continue to increase R&D investment, shorten development cycles and introduce new models at a faster pace than most European incumbents. We therefore expect Europe to experience a slower and more contested market-share transition than China, but not a reversal of Chinese OEM expansion. Policy and localization requirements should alter the timing and economics of the shift rather than eliminate it.

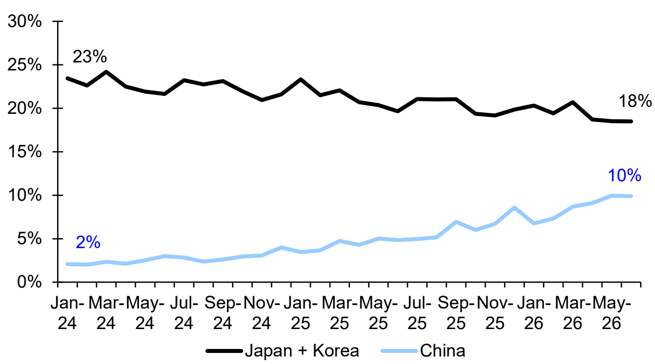
Chinese OEMs Could Reach Double-digit Market Share Longer Term

We forecast Chinese OEMs’ combined share of Europe’s passenger vehicle market to increase from 5% in 2025 to 12% in 2026e and modestly higher in 2027e before declining in 2028e and 2029e following the expected implementation of the

Industrial Acceleration Act (IAA). As localisation efforts gain traction around 2030, we believe market share could recover, with Chinese OEMs ultimately capturing a high double-digit share of the European market.

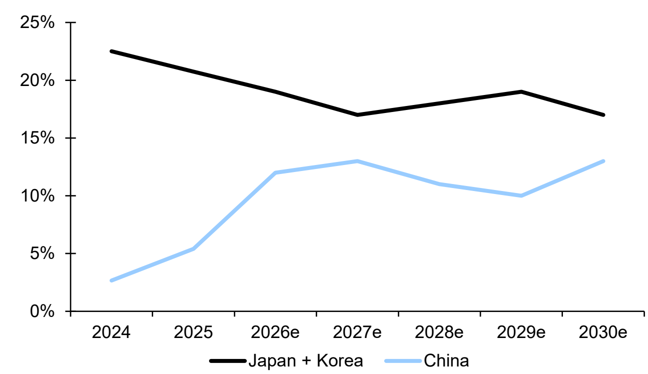
We expect 2026 to represent the strongest year of near-term share gains. Chinese OEM market share reached ~10% in June 2026 despite shipping bottlenecks, while additional model launches and improving product availability should support further growth in 2H26, lifting full-year market share to 12%. Chinese OEMs have already gained share partly at the expense of other Asian automakers, with their combined European market share rising from ~2% in January 2024 to ~10% in June 2026, while the share of Japanese and Korean OEMs declined from ~23% to ~18%.

Figure 23: Passenger Vehicle Market Share of Japanese & Korean versus Chinese OEMs in Europe



Source : Marklines. Note: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

Figure 24: Passenger Vehicle Market Share Outlook of Japanese & Korean versus Chinese OEMs in Europe



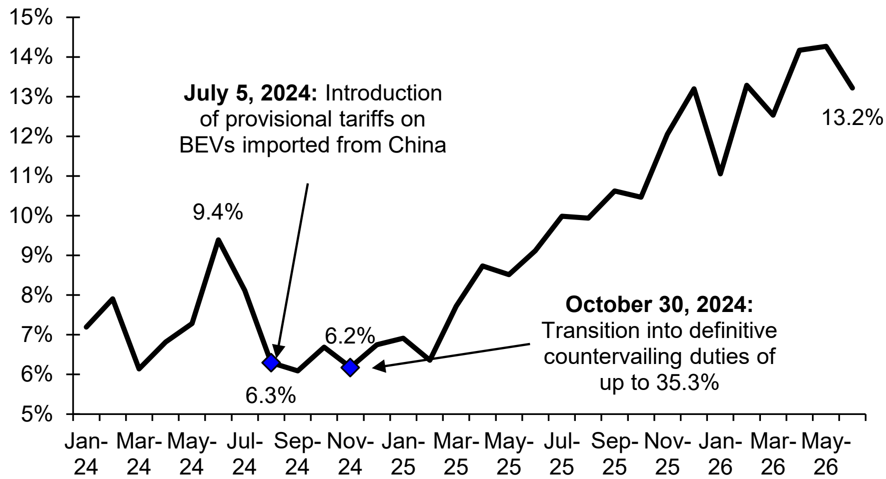
Source : Marklines, Deutsche Bank estimates. Note: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

We expect growth to slow materially in 2027 as the anticipated introduction of PHEV tariffs weighs on sales momentum. The BEV tariffs offer a useful precedent: Chinese OEMs accounted for ~7% of Europe's BEV market during January-May 2024, before their share increased to ~9% in June-July as demand was brought forward ahead of expected price increases. Following the introduction of provisional tariffs in July 2024 and definitive countervailing duties in October 2024, Chinese OEM BEV market share remained at ~6.5% for approximately seven months before resuming growth. We expect a similar pattern for PHEVs, with demand brought forward ahead of the tariffs and the expected implementation of the IAA in 2028. These effects should support modest overall market-share growth of ~1 percentage point to 13% in 2027e despite the tariff headwind.

We expect the IAA to drive market-share losses in 2028 and 2029 through a combination of demand pulled forward into 2027, the loss of consumer subsidies for non-compliant vehicles and reduced access to government and financially supported corporate-fleet demand, which accounts for ~62% of the European passenger vehicle market. Chinese OEMs may respond by funding additional discounts to offset lost subsidies, softening the market-share decline but transferring part of the policy cost to OEM profitability. We therefore forecast Chinese OEM market share to decline in 2028e and 2029e as automakers invest in European production, localized components and regional supply chains.

We expect market share to recover from 2030e as localized capacity progressively comes onstream and Chinese OEMs regain access to financially supported demand channels. European production should also shorten delivery times and support greater product adaptation to local demand, although higher labor, energy and supplier costs could narrow part of China's existing pricing advantage. Overall, higher entry barriers are more likely to disrupt the timing and profitability of Chinese OEM expansion than to stop it. Longer term, additional brands, broader product coverage and deeper localization should support Chinese OEM market share rise.

Figure 25: BEV Passenger Vehicle Market Share of Chinese OEMs in Europe



Source : Marklines. Note: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

More Chinese OEMs to Enter Europe Despite Higher Entry Barriers

Higher trade and localization barriers will raise the capital requirements and operational complexity of entering Europe, but are unlikely to stop Chinese OEM expansion. Europe remains strategically important given its market size, relatively attractive pricing and margins, while Chinese OEMs have substantial manufacturing capacity, broad product portfolios and growing incentives to diversify beyond their domestic market.

Spain and Hungary Emerging as the Principal Investment Destinations

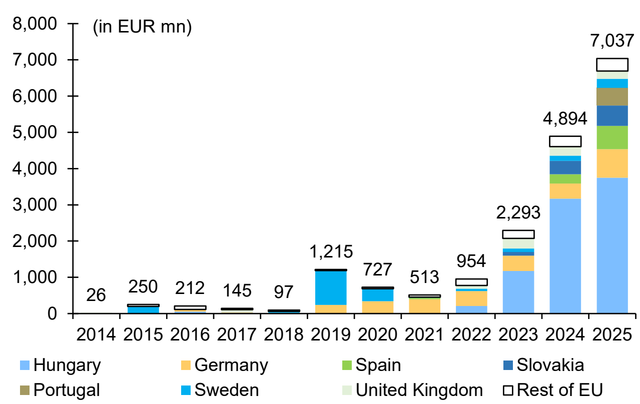
Spain and Hungary are emerging as the principal destinations for Chinese automotive investment, reflecting different but complementary advantages. Completed Chinese EV-related FDI in Europe accelerated sharply to EUR 7.0 billion in 2025, with Hungary accounting for the largest share (EUR 3.8 billion), followed by growing investment across Spain (EUR 642 million) and other European markets.

Spain offers Europe's second-largest vehicle manufacturing base, an established supplier network and substantial brownfield capacity. Underutilized plants and available production lines allow Chinese OEMs to establish local manufacturing more quickly and with lower capex than through dedicated greenfield investment. Spain also retains a meaningful labor-cost advantage over Western European manufacturing hubs. In 2024, automotive labor cost per vehicle was US$ 955 in Spain, compared with US$ 1,569 in France, US$ 2,067 in Italy and US$ 3,307 in Germany.

Central and Eastern Europe offers some of the region's lowest automotive labor costs. Poland, the Czech Republic and Slovakia recorded labor costs of US$ 663, US$ 691 and US$ 830 per vehicle, respectively, in 2024. This cost structure helps explain the region's appeal for vehicle, battery and component investment, particularly among Chinese OEMs seeking to localize production while preserving part of their cost advantage.

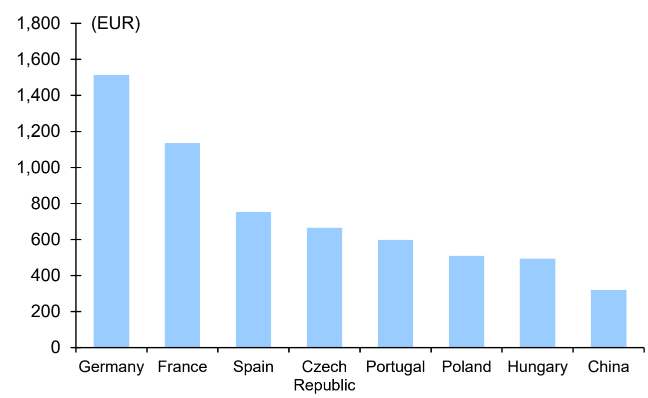
Hungary has developed a comparatively supportive environment for integrated greenfield investment and supply-chain localization. The country is attracting investment across vehicle assembly, batteries and components, making it particularly suitable for Chinese OEMs seeking greater control over production and a more vertically integrated European footprint. BYD's dedicated plant in Szeged represents the clearest example, while Spain has attracted a wider range of brownfield conversions, JVs and manufacturing partnerships.

Figure 26: Completed Major Chinese EV-related FDI Transactions in Europe by Target Country



Source : Rhodium Group China Cross-Border Monitor

Figure 27: Vehicle Production Cost (Labour + Electricity) Across Europe and China



Source : VDA, Deutsche Bank estimates

Confirmed Production Footprint to Expand ahead

Chinese OEMs' European production footprint is set to expand materially ahead, encompassing greenfield factories, brownfield conversions, JVs, contract manufacturing and the use of spare capacity at established European automakers. Larger Chinese OEMs are pursuing dedicated or more integrated production, while others are using manufacturing partnerships to reduce upfront capex and accelerate market entry. These arrangements can also benefit European automakers (partners of Chinese OEMs) by improving utilization at plants facing excess capacity or limited future model allocation. However, their long-term viability will increasingly depend on whether the resulting operations generate sufficient European value added to satisfy local-content requirements.

Current Projects Represent Only the First Wave of Required Capacity

Capacity represents a key constraint on the longer-term localization thesis. Europe's passenger vehicle market is ~13 million units annually. Chinese OEMs' long term double digit market share would therefore imply regional sales of potential ~2-3 million vehicles per year. Even allowing for continued imports, the currently announced localized production footprint represents only a fraction of the capacity that would ultimately be required.

The first wave of projects should therefore be viewed as an initial foothold rather than an end-state. BYD's initial 150,000-unit Szeged plant, SAIC's planned 120,000-unit Galicia facility, Chery's 150,000-unit Barcelona target, Geely-Ford Valencia 500,000-unit manufacturing joint venture, and some contract-manufacturing projects establish meaningful capacity, but remain well below the volumes implied by the longer-term opportunity. Certain facilities will also produce vehicles for export or multiple brands, meaning their full output will not necessarily be available for Chinese-brand European sales.

Future market-share growth will consequently depend on a second wave of plant expansions, brownfield acquisitions and manufacturing partnerships. Investors should focus not only on currently announced production, but also on each OEM's ability to secure additional sites, localize supplier capacity and ramp plants efficiently. The capacity gap reinforces our preference for OEMs with European partners and access to existing manufacturing infrastructure.

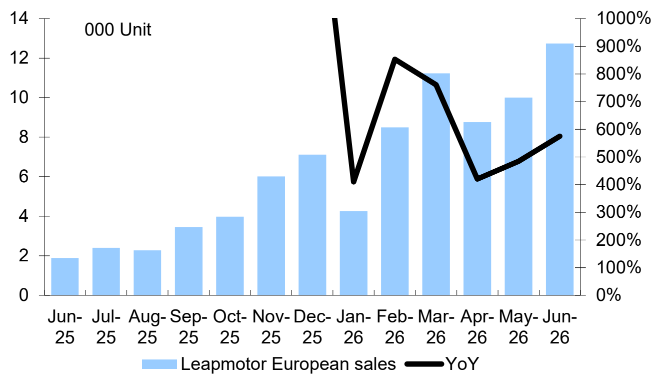
Leapmotor (9863 HK): Stellantis Partnership Provides an Asset-Light Route to European Scale

Leapmotor is pursuing European expansion through its strategic partnership with Stellantis, providing access to established distribution, manufacturing, procurement and supply-chain capabilities without requiring a wholly owned greenfield plant. Stellantis invested ~EUR 1.5 billion in Leapmotor for an ~21% stake and subsequently established Leapmotor International, a 51:49 Stellantis-led JV with exclusive rights to export, sell and manufacture Leapmotor vehicles outside Greater China.

The JV launched the "T03" and "C10" in Europe in 2024 and expanded to more than 850 sales and service locations, with European shipments exceeding 40,000 units in 2025. Leapmotor could begin producing the "B10" at Stellantis' Zaragoza plant in Spain in 2026, with the "B05" expected to follow in 2027.

The partners are also considering allocating additional Leapmotor models to Stellantis' Villaverde plant in Madrid from 1H28 and potentially transferring ownership of the facility to Leapmotor International's Spanish subsidiary. These plans remain subject to definitive agreements and approvals, but would deepen Leapmotor's European localization while improving utilization of Stellantis' manufacturing footprint.

Figure 28: Leapmotor European Market Passenger Vehicle Sales Volume Trend



Source : Marklines. Note: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

Figure 29: Leapmotor European Market Passenger Vehicle Sales Volume by Country

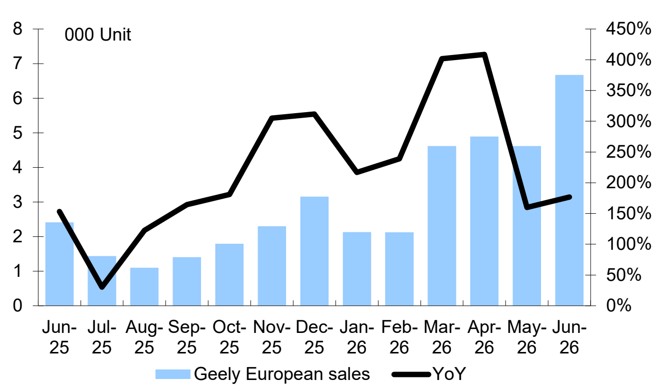
Leapmotor European market volume by country					
(unit)	**Jun-26**	***YoY***	***MoM***	**6M 2026**	***YoY***
Leapmotor European sales	**12,733**	***574.8%***	***27.2%***	**55,486**	***567.1%***
Italy	3,364	*931.9%*	*-29.4%*	24,264	*1448.4%*
Germany	2,662	*366.2%*	*118.7%*	8,402	*306.5%*
UK	2,150	*1403.5%*	*127.8%*	6,770	*1149.1%*
France	940	*286.8%*	*55.6%*	3,364	*139.8%*
Spain	923	*306.6%*	*100.2%*	2,739	*202.0%*
Belgium	580	*437.0%*	*38.8%*	1,735	*353.0%*
Netherlands	536	*614.7%*	*15.0%*	1,854	*461.8%*
Austria	377	*756.8%*	*18.9%*	1,259	*559.2%*
Poland	254	*213.6%*	*52.1%*	1,129	*189.5%*
Switzerland	225	*435.7%*	*87.5%*	854	*229.7%*
Portugal	204	*1754.5%*	*94.3%*	648	*1520.0%*
Denmark	151		*1787.5%*	549	
Slovenia	136		*-26.5%*	662	
Czech Republic	64	*2033.3%*	*93.9%*	218	*7166.7%*
Sweden	46		*-13.2%*	166	

Source : Marklines. Note: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

Geely Automobile (0175 HK): Ford JV Supports Capital-Efficient European Localization

Geely is pursuing a capital-efficient European localization strategy through its manufacturing JV with Ford at the latter's Valencia plant in Spain. Ford will hold 66% of the proposed JV and Geely 34%, with operations expected to commence in 1H27, subject to regulatory approval, and vehicle production scheduled to begin in 2028. The partners plan to share production capacity and development costs, with the facility expected to manufacture three Ford-branded multi-energy vehicles and two Geely-branded NEVs. Valencia's potential annual capacity of ~500,000 units provides substantial scope to improve plant utilization and scale Geely's localized production without the capital requirements or lead time of a dedicated greenfield facility. The partnership combines Ford's established European manufacturing footprint and workforce with Geely's electrification technologies and cost-efficient supply chain, providing Geely with a faster and lower-risk route to European production. However, eligibility under the proposed "Made in EU" framework will ultimately depend on the depth of European sourcing across batteries, powertrains, electronics and other components.

Figure 30: Geely European Market Passenger Vehicle Sales Volume Trend



Source : Marklines. Note: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

Figure 31: Geely European Market Passenger Vehicle Sales Volume by Country

Geely European market volume by country					
(unit)	**Jun-26**	***YoY***	***MoM***	**6M 2026**	***YoY***
Geely European sales	**6,671**	***176.9%***	***44.4%***	**25,049**	***240.0%***
UK	2,119		*86.9%*	6,497	
Italy	774	*3770.0%*	*4.0%*	3,677	*1776.0%*
Spain	645	*22.9%*	*116.4%*	2,460	*143.1%*
Sweden	586	*147.3%*	*8.7%*	2,343	*92.0%*
Netherlands	459	*-14.7%*	*50.0%*	2,081	*6.0%*
Germany	401	*46.9%*	*83.1%*	1,095	*125.8%*
Norway	255	*127.7%*	*57.4%*	986	*119.1%*
Poland	216		*92.9%*	718	*71700.0%*
Belgium	206	*249.2%*	*134.1%*	689	*298.3%*
Denmark	206	*1484.6%*	*-13.1%*	1,169	*7206.3%*
Romania	157	*157.4%*	*-4.3%*	700	*160.2%*
France	152	*-58.7%*	*10.1%*	348	*-42.6%*
Switzerland	129	*6350.0%*	*-21.8%*	567	*28250.0%*
Croatia	100	*31.6%*	*-9.9%*	492	*35.9%*
Slovenia	90	*63.6%*	*76.5%*	398	*58.6%*

Source : Marklines. Note: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

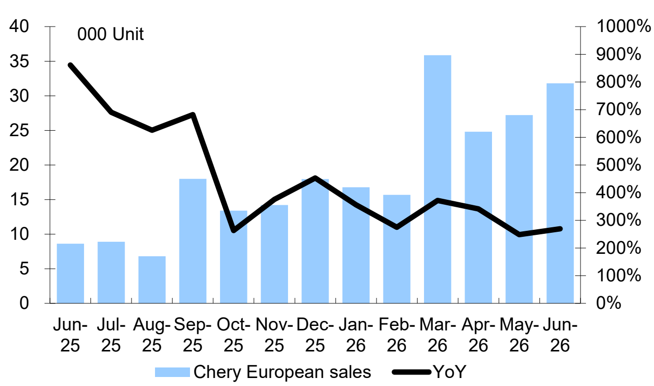
Chery Automobile (9973 HK): Brownfield JV Provides a Manufacturing Foothold, but Localization Remains Limited

Chery is pursuing an asset-light localization strategy through its 40:60 JV with Spain's Ebro-EV Motors. Established in April 2024, the partnership has restarted vehicle production at Nissan's former Barcelona facility, where production ceased in December 2021, and is targeting annual output of 150,000 units by 2029. Repurposing the brownfield facility provides access to existing infrastructure and a local manufacturing presence, allowing Chery to commence production more quickly and with lower upfront capex than through a greenfield plant.

However, the current arrangement provides fewer localization benefits than partnerships with established automakers that already operate integrated European manufacturing and supply chains, such as Stellantis and Ford. The facility primarily produces rebadged Chery models under the revived Ebro brand, including the "S400", "S700", "S800" and "S900" SUVs, while remaining reliant on Chery's products and supply chain. Chery may therefore need to expand local sourcing and move beyond kit-based production to develop the manufacturing capabilities and European value added required under the proposed IAA.

Chery is also exploring production at Nissan's Sunderland plant in the UK, where the two companies have signed a non-binding memorandum of understanding. This could provide additional brownfield capacity and manufacturing expertise, although the project remains under discussion and UK production would not automatically satisfy the IAA's EU-assembly requirement.

Figure 32: Chery European Market Passenger Vehicle Sales Volume Trend



Source : Marklines. Note: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

Figure 33: Chery European Market Passenger Vehicle Sales Volume by Country

Chery European market volume by country					
(unit)	Jun-26	*YoY*	*MoM*	6M 2026	*YoY*
Chery European sales	**31,813**	***269.4%***	***17.0%***	**152,145**	***305.6%***
UK	13,590	*259.8%*	*22.0%*	70,807	*361.6%*
Spain	4,263	*100.1%*	*5.7%*	19,798	*90.6%*
Italy	4,085	*214.5%*	*2.8%*	20,903	*295.8%*
Poland	3,590	*211.6%*	*13.7%*	17,455	*202.8%*
France	2,026		*123.1%*	4,000	
Czech Republic	809	*725.5%*	*-8.9%*	3,564	*1314.3%*
Portugal	528		*41.9%*	1,649	
Romania	500		*1.0%*	2,440	
Austria	495		*24.1%*	2,034	
Greece	478	*785.2%*	*35.0%*	2,406	*1840.3%*
Netherlands	396		*-1.7%*	2,334	
Belgium	383	*283.0%*	*7.6%*	1,924	*445.0%*
Slovakia	241		*-5.1%*	747	
Croatia	163		*-9.4%*	800	*13233.3%*
Slovenia	114		*-5.0%*	600	

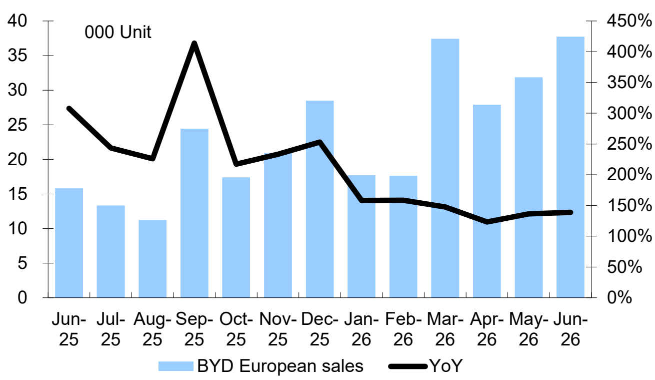
Source : Marklines. Note: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

BYD (1211 HK): Greenfield Investment Provides a Platform for Full-Process Localization

BYD is pursuing the most capital-intensive localization strategy among Chinese OEMs through its dedicated passenger vehicle plant in Szeged, Hungary. The greenfield facility has initial annual capacity of 150,000 units, with production scheduled to begin in Q4 2026 and potential for further expansion. Unlike asset-light CKD assembly, the plant incorporates stamping, body/welding, painting and assembly, providing BYD with greater operational control and a stronger foundation for full-process manufacturing.

However, the plant does not currently include battery-cell manufacturing, meaning BYD may need to further localize battery and component sourcing to satisfy progressively tighter “Made in EU” requirements. BYD is also reportedly considering taking over an existing European plant, with Spain previously identified as a preferred location. A brownfield facility would complement its Hungarian investment and allow European capacity to expand more quickly and with lower incremental capex.

Figure 34: BYD European Market Passenger Vehicle Sales Volume Trend



Source : Marklines. Note: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

Figure 35: BYD European Market Passenger Vehicle Sales Volume by Country

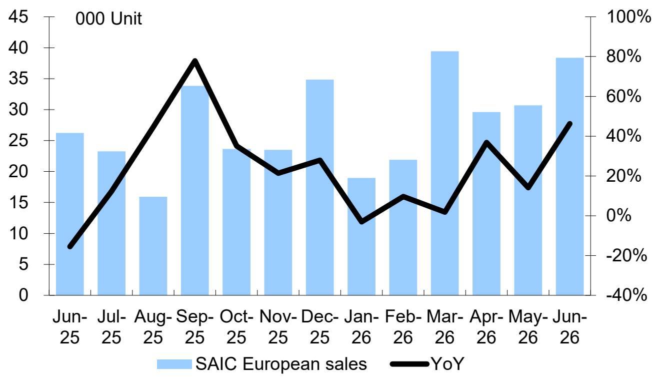
BYD European market volume by country					
(unit)	Jun-26	YoY	MoM	6M 2026	YoY
BYD European sales	37,745	138.7%	18.5%	170,257	141.2%
Germany	6,259	273.7%	1.5%	26,250	315.9%
UK	6,242	36.2%	21.0%	37,795	94.9%
Italy	6,065	215.9%	0.7%	29,512	210.1%
France	5,040	399.0%	100.4%	13,546	140.2%
Spain	4,875	102.5%	7.9%	22,861	124.2%
Poland	1,334	232.7%	27.3%	5,306	226.3%
Netherlands	1,236	200.0%	125.1%	3,766	114.3%
Austria	1,075	105.9%	7.3%	5,804	77.0%
Belgium	936	121.8%	84.6%	3,614	99.0%
Portugal	792	6.5%	-18.0%	4,056	35.1%
Switzerland	790	1826.8%	36.2%	2,719	1410.6%
Norway	626	-17.0%	10.4%	2,658	10.2%
Romania	494	49300.0%	7.6%	2,140	42700.0%
Greece	423	105.3%	109.4%	1,589	45.8%
Denmark	412	27.2%	28.0%	1,570	35.7%

Source : Marklines. Note: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

SAIC Motor (600104 CH): Greenfield Production to Support MG’s European Expansion

SAIC plans to establish its first EU vehicle manufacturing plant in Galicia, Spain, providing a localized production base for MG. The EUR 200 million greenfield project is expected to begin production by late 2028, with annual capacity of 120,000 units and more than 2,000 local jobs. A dedicated plant would require greater upfront investment than contract assembly or brownfield conversion, but would provide SAIC with greater control over production and more scope to localize manufacturing and component sourcing. The project would also complement MG’s established European sales and distribution network. However, eligibility under the proposed IAA would depend on the plant’s production scope and sourcing of batteries, powertrains, electronics and other components, rather than EU assembly alone.

Figure 36: SAIC European Market Passenger Vehicle Sales Volume Trend



Source : Marklines. Note: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

Figure 37: SAIC European Market Passenger Vehicle Sales Volume by Country

SAIC European market volume by country					
(unit)	Jun-26	*YoY*	*MoM*	6M 2026	*YoY*
SAIC European sales	**38,364**	***46.2%***	***24.9%***	**178,972**	***17.0%***
UK	10,397	*37.3%*	*39.3%*	48,745	*14.3%*
Spain	4,927	*36.6%*	*4.2%*	25,137	*-1.4%*
France	4,688	*95.5%*	*74.8%*	16,417	*25.1%*
Italy	4,322	*4.2%*	*-19.4%*	31,181	*6.4%*
Germany	3,974	*86.7%*	*25.4%*	16,144	*39.7%*
Belgium	2,106	*512.2%*	*111.4%*	5,722	*160.8%*
Poland	2,023	*144.3%*	*17.4%*	9,191	*46.2%*
Austria	1,301	*79.2%*	*244.2%*	3,585	*34.6%*
Greece	671	*81.8%*	*62.5%*	2,518	*-3.1%*
Switzerland	642	*139.6%*	*104.5%*	2,370	*87.2%*
Denmark	595	*19.7%*	*10.2%*	2,422	*57.3%*
Norway	542	*9.7%*	*46.5%*	1,732	*-14.7%*
Romania	459	*103.1%*	*-3.8%*	1,757	*32.4%*
Netherlands	364	*-10.6%*	*41.1%*	1,554	*9.0%*
Czech Republic	357	*-19.8%*	*18.2%*	1,834	*-31.2%*

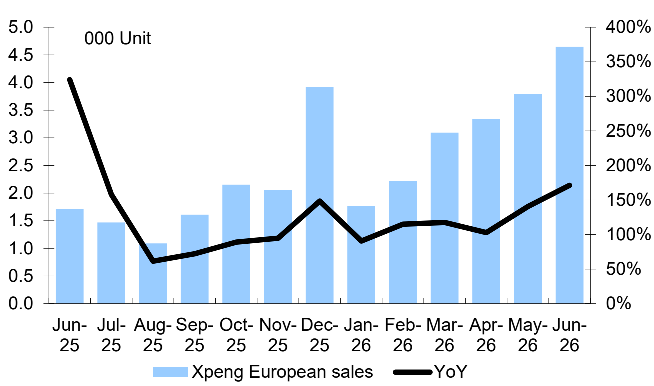
Source : Marklines. Note: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

XPeng (9868 HK) and GAC Group (2238 HK): Magna Contract Assembly Offers a Low-Capex Entry Route

XPeng and GAC have adopted an asset-light localization model through contract assembly by Magna Steyr in Austria. Combined annual production is unlikely to exceed 25,000 units initially, indicating that the arrangements are intended primarily to establish local manufacturing capability and support early-stage market development rather than immediate scale.

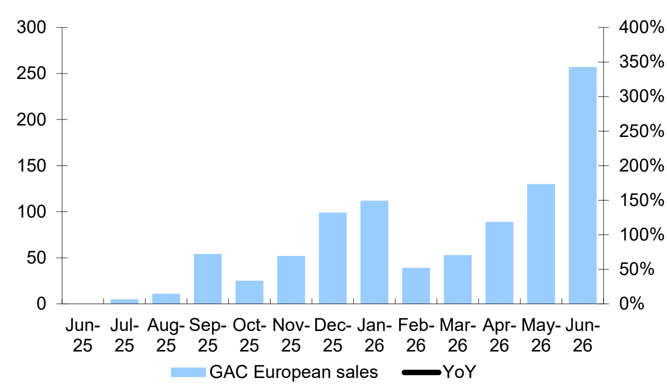
The Magna partnership provides access to existing production infrastructure, trained labor and European manufacturing expertise while limiting upfront capex. However, relatively low production volumes and limited manufacturing scope may not generate sufficient European value added to meet progressively tighter requirements for batteries, non-battery content, electric powertrains and electronics.

Figure 38: XPeng European Market Passenger Vehicle Sales Volume Trend



Source : Marklines. Note: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

Figure 39: GAC European Market Passenger Vehicle Sales Volume Trend



Source : Marklines. Note: Europe includes EU (excluding Cyprus, Iceland, Latvia, Lithuania and Malta) + EFTA + UK

Dongfeng Motor Voyah (7489 HK): Potential Voyah Production Could Utilize Stellantis' Spare Capacity

Dongfeng is exploring localized European production through its relationship with Stellantis. Under the potential arrangement, up to 40,000 Voyah SUVs could be produced annually at Stellantis' Rennes plant in France from 2028. The project would provide an asset-light route to European manufacturing by leveraging Stellantis' infrastructure, workforce and supplier network. However, the parties have yet to sign a definitive agreement, and the eventual production scope remains uncertain.

BAIC Motor (1958 HK) and Zhengzhou Nissan (Dongfeng): Low-Volume Assembly Through Santana in Spain

BAIC and Zhengzhou Nissan are entering European production on a smaller scale through Santana Motors' plant in Linares, Spain. Planned programs include SUVs based on the BAIC "BJ40" and a pickup based on the Zhengzhou Nissan "Z9", marketed under the Santana brand. Combined annual production is unlikely to exceed 50,000 units. Given the expected scale and rebadging model, the project is likely to remain a niche localization initiative unless Santana expands production scope and European component sourcing.

Seres Group (601127 CH): European Presence Expanding, While AIVA Partners With ByteDance on AI Cockpits

Seres entered Europe in January 2023 with the "Seres 5" and has since expanded its Seres and DFSK brands across the region. At IAA Mobility 2025 in Munich, the company showcased the global lineup of its premium AITO brand. However, broader overseas expansion and localization of AITO could be complicated by its close product and technology collaboration with Huawei.

Separately, Seres has deconsolidated its mass-market Landian operations into Saidou Technology, retaining a 32% stake. Saidou subsequently launched the AI-focused AIVA brand and its first model, the "AIVA ME7". The AIVA lineup will feature smart cockpits powered by ByteDance's Doubao large model, potentially providing Seres with an alternative technology pathway beyond AITO, although no concrete European localization timetable has been announced.

Xiaomi (1810 HK): European Market Entry Planned for 2027

Xiaomi plans to enter the European EV market in 2027, with Germany expected to serve as its first market. The company established its first overseas EV R&D and design center in Munich in September 2025 and has recruited former Tesla executive Dieter Lorenz to lead European delivery and logistics. European road testing of the "SU7" and "YU7" is underway. However, Xiaomi has yet to announce a European manufacturing or localization plan. Its initial entry is therefore likely to rely on imported vehicles, potentially leaving it exposed to BEV tariffs and future "Made in EU" requirements for access to public support.

Great Wall Motor (2333 HK): European Relaunch Combines Broader Product Coverage With Potential Local Assembly

Great Wall Motor (GWM) is rebuilding its European presence following a difficult initial rollout after its 2021 debut at the Munich Motor Show, which subsequently led the company to close its Munich office in 2024 and shift regional operations to the Netherlands. GWM plans to strengthen its dealer network, improve residual values and broaden its powertrain portfolio beyond BEVs. Its next product wave will begin with the compact "Ora 5" in electric and hybrid variants, followed by two petrol-powered Haval SUVs, enabling the company to compete across BEVs, hybrids and ICE vehicles in higher-volume segments. In parallel, GWM is evaluating locations including Spain and Hungary for its first European assembly plant, targeting potential annual capacity of 300,000 vehicles by 2029. However, the project remains at the site-evaluation stage, and its timing, investment scale and localization depth have yet to be confirmed.

Changan Automobile (000625 CH): Multi-Brand Expansion Precedes Potential European Production

Changan is accelerating its European expansion through a multi-brand and multi-powertrain strategy, supported by planned regional investment of EUR 2 billion. The company has begun selling vehicles in eight European markets, including Germany, the UK and Norway, and is expanding into Italy and Spain with the Deepal "S05" and "S07" BEVs, followed by PHEV variants. Changan plans to launch eight models in Europe over three years and establish more than 1,000 dealers by 2030, with Avatr and Nevo expected to complement the Deepal lineup over time. The company is also considering a manufacturing plant in Spain to reduce its exposure to EU tariffs and support longer-term localization, although the site, investment scale, production capacity and timing remain unconfirmed. Changan's broader product and distribution buildout should support its entry into multiple European segments, but its localization strategy remains less developed than those of Chinese OEMs with confirmed plants or established manufacturing partners.

Prefer OEMs With Established European Partnerships and Suppliers With Local Production

We favors OEMs with existing European production arrangements and substantive partnerships with local automakers (such as Leapmotor and Chery), which we believe provide a more capital-efficient and lower-risk route to localization than wholly owned greenfield investment. Among suppliers, we prefer Minth, Nexteer, Fuyao Glass and Johnson Electric, reflecting their combination of European manufacturing capacity and established supply relationships with Chinese OEMs.

Local Partnerships Provide a More Capital-Efficient Localization Path

We prefer OEMs that combine localized production with established European partnerships. Such structures provide access to existing plants, trained workforces, supplier networks, distribution channels and local operating expertise, while reducing upfront capex and shortening implementation timelines. Local partners can also improve engagement with governments and stakeholders, reduce geopolitical risk and facilitate compliance with demanding local-content requirements.

Although the proposed IAA does not universally require Chinese OEMs to form JVs, its potential requirements around EU ownership, employment, R&D and local sourcing could make substantive partnerships increasingly advantageous. We favor OEMs that combine European production with substantive local partnerships, particularly **Leapmotor and Geely**. Leapmotor's Stellantis-led JV and Geely's Ford-led manufacturing JV provide access to existing production capacity, supplier networks, distribution channels and operating expertise while reducing upfront capex and geopolitical risk. Chery's JV with Spain's EV Motors provides a local manufacturing foothold through the revived Ebro brand, but offers fewer localization benefits at this stage. Ebro had ceased vehicle production for an extended period, and its current models are largely based on Chery products and remain dependent on Chery's supply chain. The partnership therefore provides access to an existing plant and local market presence, but does not yet offer the same depth of manufacturing capabilities or localized sourcing as Leapmotor's partnership with Stellantis or Geely's JV with Ford. BYD and SAIC remain well positioned through dedicated EU production, but their greenfield strategies require greater investment and place more responsibility on the OEMs to build localized supply chains independently.

Prefer Suppliers With Both European Capacity and Existing Chinese OEM Relationships

Within the auto-parts supplier sector, we favor suppliers that already manufacture in Europe and supply Chinese OEMs in China. Existing European capacity provides a foundation for meeting local-content requirements without requiring entirely new production footprints, while established customer relationships increase the likelihood that suppliers capture incremental content as vehicle production localizes. We therefore prefer Minth, Nexteer, Fuyao and Johnson Electric, which are positioned to benefit from deeper European supply-chain localization.

Minth Group (425 HK): Serbia Hub Supports Cost-Effective Supply Into the EU

Serbia serves as Minth's principal European production hub, with existing automotive component plants in Loznica and Sabac and further investment planned in Indjija, Leskovac and Cuprija. This footprint localizes Minth's capabilities in decorative trims, sealing components, aluminum automotive parts, battery housings, and aluminum casting and processing.

Serbia also provides favorable access to the EU through the Stabilisation and Association Agreement, which entered into force in September 2013 and established largely tariff-free trade in goods. Minth has established relationships with leading Chinese OEMs, including BYD, Geely, Leapmotor, XPeng and NIO. Together with its manufacturing operations within the EU, including Germany, France, the Czech Republic and Poland, these relationships position Minth to capture incremental content as Chinese OEMs localize production.

Nexteer Automotive (1316 HK): Polish Production Base Supports Localized Steering Supply

Nexteer operates three manufacturing plants in Tychy and Gliwice, Poland, producing electric power steering systems, steering columns and driveline components. The company also has local engineering capabilities spanning design, software, prototyping, vehicle testing and validation.

Poland generated revenue of US$ 445.6 million in 2025, equivalent to 9.7% of Nexteer's total revenue of US$ 4.6 billion. Nexteer supplies leading Chinese OEMs, including BYD, Chery, Great Wall Motor, Geely and XPeng, alongside BMW, Ford, General Motors, Stellantis and Volkswagen. Its established Polish production and engineering base provides a platform to support localized Chinese OEM programs.

Fuyao Glass (3606 HK): European Processing Footprint Supports Localized OEM Supply

Fuyao serves European OEMs through a "1+N" operating model, combining centralized automotive glass production at coastal manufacturing bases in China with localized downstream processing in Europe. Automotive glass is exported to facilities in Germany, Hungary and Slovakia for encapsulation, accessory installation, sensor integration and customer delivery.

Automotive glass is not explicitly included among the components subject to mandatory EU-origin thresholds under the proposed IAA, potentially allowing Fuyao to maintain its current model. Fuyao supplies major global OEMs as well as BYD, Geely, NIO and Li Auto. Its Chinese customer base should allow its European processing facilities to capture incremental demand as these OEMs establish local production, while its existing infrastructure limits the need for significant upfront investment.

Johnson Electric (179 HK): European Footprint Supports Higher NEV and AD Content

Johnson Electric's European manufacturing footprint is centered on production hubs in Serbia, Poland and Germany, complemented by facilities across Switzerland, Türkiye, Italy, Hungary and other regional markets. The company produces electric motors, actuators, motion subsystems and related electromechanical components.

Its Automotive Products Group accounts for 84% of total revenue and serves more than 400 automotive customers globally. For NEVs, Johnson Electric supplies thermal-management subsystems, including electric pumps and valve actuators, supporting driving range, cabin comfort, battery life and fast-charging performance. The company also supplies motion-control products enabling autonomous-driving functions, including steer-by-wire and brake-by-wire motors, steering-column adjusters and haptic actuators.

While Johnson Electric historically focused on international-brand JVs in China, it has recently secured orders from BYD, Geely, SAIC and Leapmotor. Its increasingly diversified Chinese customer base and European production network should support incremental content opportunities as these OEMs localize production, particularly as electrification and AD increase content per vehicle.

Figure 40: China Auto & Auto Technology Sector Valuation Table

Company	BBG ticker	Listing Currency	Price (Latest)	Market Cap (USD MN)	Price / sales			EV / sales			P/B (x)			ROE (%)		
					2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Automakers																
BYD Co Ltd	1211 HK	HKD	91.5	115,809	0.9	0.8	0.7	1.0	0.9	0.8	2.5	2.2	1.9	15	17	17
Xiaomi Corp	1810 HK	HKD	28.5	93,678	1.4	1.2	1.0	1.2	1.0	0.9	2.2	1.9	1.7	9	11	13
Geely Automobile Holdings Ltd	175 HK	HKD	18.6	25,539	0.4	0.4	0.3	0.4	0.3	0.3	1.6	1.3	1.1	20	21	21
Chery Automobile Co Ltd	9973 HK	HKD	26.0	19,258	0.4	0.3	0.3	0.1	0.1	0.1	1.8	1.4	1.1	32	31	29
SAIC Motor Corp Ltd	600104 CH	CNY	10.0	17,161	0.2	0.2	0.2	0.3	0.3	0.3	0.4	0.4	0.3	4	4	5
Great Wall Motor Co Ltd	2333 HK	HKD	8.5	16,755	0.5	0.4	0.4	0.4	0.4	0.3	0.6	0.6	0.5	11	12	13
Li Auto Inc	2015 HK	HKD	50.3	13,350	0.7	0.6	0.5	0.1	0.1	0.1	1.8	1.7	1.6	-1	5	7
Seres Group Co Ltd	601127 CH	CNY	50.8	12,895	0.5	0.4	0.3	0.6	0.5	0.4	2.0	1.7	1.5	12	16	18
NIO Inc	9866 HK	HKD	36.5	11,669	0.6	0.5	0.4	0.6	0.5	0.5	10.8	8.2	5.5	-3	51	34
XPeng Inc	9868 HK	HKD	47.5	11,606	0.8	0.7	0.6	0.8	0.6	0.5	2.6	2.4	2.2	-5	5	11
Chongqing Changan Automobile C	000625 CH	CNY	7.1	9,415	0.4	0.3	0.3	0.4	0.4	0.4	0.9	0.8	0.8	5	6	7
Zhejiang Leapmotor Technology	9863 HK	HKD	41.9	7,225	0.5	0.4	0.3	0.3	0.2	0.2	2.8	2.1	1.6	19	26	26
Anhui Jianghuai Automobile Gro	600418 CH	CNY	20.8	6,968	0.7	0.4	0.4	0.7	0.5	0.4	3.6	2.7	2.0	12	31	33
Guangzhou Automobile Group Co	2238 HK	HKD	2.2	6,307	0.4	0.3	0.3	0.6	0.5	0.5	0.2	0.2	0.2	-4	-1	1
BAIC BluePark New Energy Techn	600733 CH	CNY	5.1	4,772	0.7	0.4	0.4	0.8	0.5	0.5	10.3	11.5	8.4	-59	17	17
Jiangling Motors Corp Ltd	000550 CH	CNY	16.3	1,668	0.3	0.3	0.2	0.0	0.0	0.0	1.1	1.0	1.0	13	13	13
Brilliance China Automotive Ho	1114 HK	HKD	2.3	1,477	7.7	7.1	6.7	5.1	4.8	4.5	0.5	0.5	0.4	9	9	9
BAIC Motor Corp Ltd	1958 HK	HKD	0.8	818	0.0	0.0	0.0	0.2	0.2	0.2	0.1	0.1	0.1	-4	-2	-2
Auto parts																
Fuyao Glass Industry Group Co	3606 HK	HKD	58.2	21,565	2.8	2.5	2.2	2.9	2.5	2.2	3.1	2.7	2.4	25	26	26
Horizon Robotics	9660 HK	HKD	4.9	9,888	11.4	7.2	4.7	8.1	5.1	3.4	5.6	5.8	5.3	-25	-15	3
Huizhou Desay Sv Automotive Co	002920 CH	CNY	84.9	7,526	1.4	1.2	1.0	1.4	1.2	1.0	2.9	2.5	2.2	17	17	17
Huayu Automotive Systems Co Lt	600741 CH	CNY	15.4	7,201	0.3	0.2	0.2	0.2	0.2	0.2	0.7	0.6	0.6	11	11	11
Minth Group Ltd	425 HK	HKD	28.6	4,272	1.0	0.8	0.7	1.2	1.0	0.9	1.1	1.0	0.9	12	13	14
Ningbo Joyson Electronic Corp	600699 CH	CNY	19.4	4,267	0.4	0.4	0.4	0.8	0.7	0.7	1.6	1.5	1.4	10	10	11
Pony AI Inc	PONY US	USD	7.8	3,401	22.9	11.7	5.0	16.0	8.2	3.5	2.6	2.0	2.2	-18	-21	-14
Hesai Group	HSAI US	USD	17.8	2,792	4.3	3.1	2.3	3.0	2.1	1.6	2.0	1.8	1.6	6	9	12
Johnson Electric Holdings Ltd	179 HK	HKD	20.4	2,431	0.7	0.6	0.6	0.5	0.5	0.5	0.8	0.8	0.7	9	8	8
Foryou Corp	002906 CH	CNY	25.7	2,003	0.9	0.7	0.6	1.0	0.9	0.7	1.7	1.5	1.4	13	14	15
Ningbo Xusheng Group Co Ltd	603305 CH	CNY	11.2	1,921	2.4	2.1	1.8	2.3	2.0	1.7	1.4	1.3	1.2	6	7	7
Nexteer Automotive Group Ltd	1316 HK	HKD	5.2	1,669	0.3	0.3	0.3	0.3	0.2	0.2	0.7	0.7	0.7	7	8	9
RoboSense Technology Co Ltd	2498 HK	HKD	21.1	1,268	2.8	1.9	1.5	2.1	1.5	1.1	2.3	2.1	1.9	1	8	12
ECARX Holdings Inc	ECX US	USD	1.1	440	0.4	0.3	0.3	0.9	0.7	0.6						
Seyond Holdings Ltd	2665 HK	HKD	2.5	413	1.3	1.0	0.7	1.2	0.9	0.7	275.0	1237.5	29.5	-230	-18	139

Source : Bloomberg Finance L.P. (Priced as of August 20, 2026)

Appendix 1

Important Disclosures

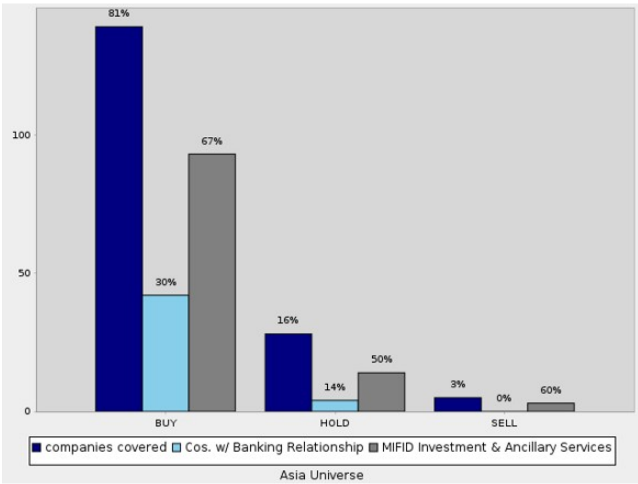
*Other information available upon request

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors . Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at https://research.db.com/Research/Disclosures/EquityResearchDisclosures. Aside from within this report, important risk and conflict disclosures can also be found at https://research.db.com/Research/Disclosures/Disclaimer. Investors are strongly encouraged to review this information before investing.

Analyst Certification

The views expressed in this report accurately reflect the personal views of the undersigned lead analyst about the subject issuers and the securities of those issuers. In addition, the undersigned lead analyst has not and will not receive any compensation for providing a specific recommendation or view in this report. Bin Wang, Wei Huang.

Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the “buy” / “Companies Covered” bar means that 50% of DB’s equity research covered companies over the past 12 months have a “buy” rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold recommendations where Deutsche Bank and or/Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the “Cos. w/ MIFID Investment and Ancillary Services” bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

- The proportion of "buy" (or "sell" or "hold) recommendations where Deutsche Bank and or/Affiliates has provided Investment Banking services in the past 12 months for which it has received compensation. The percentage value displayed above the bar shows the proportion of Companies Covered with the stated rating where DB has also provided Investment Banking services in the past 12 months. E.g. 50% above the “Cos. w/ Investment Banking relationship” bar means 50% of the Companies Covered with the rating stated also have an Investment Banking Relationship with DB.

Buy: Based on a current 12- month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

Newly issued research recommendations and target prices supersede previously published research.

Additional Information

The information and opinions in this report were prepared by Deutsche Bank AG or one of its affiliates (collectively 'Deutsche Bank'). Though the information herein is believed to be reliable and has been obtained from public sources believed to be reliable, Deutsche Bank makes no representation as to its accuracy or completeness. Hyperlinks to third-party websites in this report are provided for reader convenience only. Deutsche Bank neither endorses the content nor is responsible for the accuracy or security controls of those websites.

If you use the services of Deutsche Bank in connection with a purchase or sale of a security that is discussed in this report, or is included or discussed in another communication (oral or written) from a Deutsche Bank analyst, Deutsche Bank may act as principal for its own account or as agent for another person.

Deutsche Bank may consider this report in deciding to trade as principal. It may also engage in transactions, for its own account or with customers, in a manner inconsistent with the views taken in this research report. Others within Deutsche Bank, including strategists, sales staff and other analysts, may take views that are inconsistent with those taken in this research report. Deutsche Bank issues a variety of research products, including fundamental analysis, equity-linked analysis, quantitative analysis and trade ideas. Recommendations contained in one type of communication may differ from recommendations contained in others, whether as a result of differing time horizons, methodologies, perspectives or otherwise. Deutsche Bank and/or its affiliates may also be holding debt or equity securities of the issuers it writes on. Analysts are paid in part based on the profitability of Deutsche Bank AG and its affiliates, which includes investment banking, trading and principal trading revenues.

Opinions, estimates and projections constitute the current judgment of the author as of the date of this report. They do not necessarily reflect the opinions of Deutsche Bank and are subject to change without notice. Deutsche Bank provides liquidity for buyers and sellers of securities issued by the companies it covers. Deutsche Bank research analysts sometimes have shorter-term trade ideas that may be inconsistent with Deutsche Bank's existing longer-term ratings. Some trade ideas for equities are listed as Catalyst Calls on the Research Website (https://research.db.com/Research/) , and can be found on the general coverage list and also on the covered company's page. A Catalyst Call represents a high-conviction belief by an analyst that a stock will outperform or underperform the market and/or a specified sector over a time frame of no less than two weeks and no more than three months. In addition to Catalyst Calls, analysts may occasionally discuss with our clients, and with Deutsche Bank salespersons and traders, trading strategies or ideas that reference catalysts or events that may have a near-term or medium-term impact on the market price of the securities discussed in this report, which impact may be directionally counter to the analysts' current 12-month view of total return or investment return as described herein. Deutsche Bank has no obligation to update, modify or amend this report or to otherwise notify a recipient thereof if an opinion, forecast or estimate changes or becomes inaccurate. Coverage and the frequency of changes in market conditions and in both general and company-specific economic prospects make it difficult to update research at defined intervals. Updates are at the sole discretion of the coverage analyst or of the Research Department Management, and the majority of reports are published at irregular intervals. This report is provided for informational purposes only and does not take into account the particular investment objectives, financial situations, or needs of individual clients. It is not an offer or a solicitation of an offer to buy or sell any financial instruments or to participate in any particular trading strategy. Target prices are inherently imprecise and a product of the analyst's judgment. The financial instruments discussed in this report may not be suitable for all investors, and investors must make their own informed investment decisions. Prices and availability of financial instruments are subject to change without notice, and investment transactions can lead to losses as a result of price fluctuations and other factors. If a financial instrument is denominated in a currency other than an investor's currency, a change in exchange rates may adversely affect the investment. Past performance is not necessarily indicative of future results. Performance calculations exclude transaction costs, unless otherwise indicated. Unless otherwise indicated, prices are current as of the end of the previous trading session and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Data is also sourced from Deutsche Bank, subject companies, and other parties. Artificial intelligence tools may be used in the preparation of this material, including but not limited to assist in fact-finding, data analysis, pattern recognition, content drafting and editorial corrections pertaining to research material.

The Deutsche Bank Research Department is independent of other business divisions of the Bank. Details regarding our organizational arrangements and information barriers we have to prevent and avoid conflicts of interest with respect to our research are available on our website (https://research.db.com/Research/) under Disclaimer.

Macroeconomic fluctuations often account for most of the risks associated with exposures to instruments that promise to pay fixed or variable interest rates. For an investor who is long fixed-rate instruments (thus receiving these cash flows), increases in interest rates naturally lift the discount factors applied to the expected cash flows and thus cause a loss. The longer the maturity of a certain cash flow and the higher the move in the discount factor, the higher will be the loss. Upside surprises in inflation, fiscal funding needs, and FX depreciation rates are among the most common adverse macroeconomic shocks to receivers. But counterparty exposure, issuer creditworthiness, client segmentation, regulation (including changes in assets holding limits for different types of investors), changes in tax policies, currency convertibility (which may constrain currency conversion, repatriation of profits and/or liquidation of positions), and settlement issues related to local clearing houses are also important risk factors. The sensitivity of fixed-income instruments to macroeconomic shocks may be mitigated by indexing the contracted cash flows to inflation, to FX depreciation, or to specified interest rates - these are common in emerging markets. The index fixings may - by construction - lag or mis-measure the actual move in the underlying variables they are intended to track. The choice of the proper fixing (or metric) is particularly important in swaps markets, where floating coupon rates (i.e., coupons indexed to a typically short-dated interest rate reference index) are exchanged for fixed coupons. Funding in a currency that differs from the currency in which coupons are denominated carries FX risk. Options on swaps (swaptions) the risks typical to options in addition to the risks related to rates movements.

Derivative transactions involve numerous risks including market, counterparty default and illiquidity risk. The appropriateness of these products for use by investors depends on the investors' own circumstances, including their tax position, their regulatory environment and the nature of their other assets and liabilities; as such, investors should take expert legal and financial advice before entering into any transaction similar to or inspired by the contents of this publication. The risk of loss in futures trading and options, foreign or domestic, can be substantial. As a result of the high degree of leverage obtainable in futures and options trading, losses may be incurred that are greater than the amount of funds initially deposited - up to theoretically unlimited losses. Trading in options involves risk and is not suitable for all investors. Prior to buying or selling an option, investors must review the 'Characteristics and Risks of Standardized Options", at https://www.theocc.com/company-information/documents-and-archives/options-disclosure-document. If you are unable to access the website, please contact your Deutsche Bank representative for a copy of this important document.

Participants in foreign exchange transactions may incur risks arising from several factors, including the following: (i) exchange rates can be volatile and are subject to large fluctuations; (ii) the value of currencies may be affected by numerous market factors, including world and national economic, political and regulatory events, events in equity and debt markets and changes in interest rates; and (iii) currencies may be subject to devaluation or government-imposed exchange controls, which could affect the value of the currency. Investors in securities such as ADRs, whose values are affected by the currency of an underlying security, effectively assume currency risk.

Unless governing law provides otherwise, all transactions should be executed through the Deutsche Bank entity in the investor's home jurisdiction. Aside from within this report, important conflict disclosures can also be found at https://research.db.com/Research/ on each company's research page or under the 'Disclosures' tab. Investors are strongly encouraged to review this information before investing.

Deutsche Bank (which includes Deutsche Bank AG, its branches and affiliated companies) is not acting as a financial adviser, consultant or fiduciary to you or any of your agents (collectively, "You" or "Your") with respect to any information provided in this report. Deutsche Bank does not provide investment, legal, tax or accounting advice, Deutsche Bank is not acting as your impartial adviser, and does not express any opinion or recommendation whatsoever as to any strategies, products or any other information presented in the materials. Information contained herein is being provided solely on the basis that the recipient will make an independent assessment of the merits of any investment decision, and it does not constitute a recommendation of, or express an opinion on, any product or service or any trading strategy.

The information presented is general in nature and is not directed to retirement accounts or any specific person or account type, and is therefore provided to You on the express basis that it is not advice, and You may not rely upon it in making Your decision. The information we provide is being directed only to persons we believe to be financially sophisticated, who are capable of evaluating investment risks independently, both in general and with regard to particular transactions and investment strategies, and who understand that Deutsche Bank has financial interests in the offering of its products and services. If this is not the case, or if You are an IRA or other retail investor receiving this directly from us, we ask that you inform us immediately.

In July 2018, Deutsche Bank revised its rating system for short term ideas whereby the branding has been changed to Catalyst Calls ("CC") from SOLAR ideas; the rating categories for Catalyst Calls originated in the Americas region have been made consistent with the categories used by Analysts globally; and the effective time period for CCs has been reduced from a maximum of 180 days to 90 days.

United States: Approved and/or distributed by Deutsche Bank Securities Incorporated, a member of FINRA and SIPC. Analysts located outside of the United States are employed by non-US affiliates and are not registered/qualified as research analysts with FINRA.

European Economic Area (exc. United Kingdom): Approved and/or distributed by Deutsche Bank AG, a joint stock corporation with limited liability incorporated in the Federal Republic of Germany with its principal office in Frankfurt am Main. Deutsche Bank AG is authorized under German Banking Law and is subject to supervision by the European Central Bank and by BaFin, Germany's Federal Financial Supervisory Authority.

United Kingdom: Approved and/or distributed by Deutsche Bank AG acting through its London Branch at 21 Moorfields, London EC2Y 9DB. Deutsche Bank AG in the United Kingdom is authorised by the Prudential Regulation Authority and is subject to limited regulation by the Prudential Regulation Authority and Financial Conduct Authority. Details about the extent of our authorisation and regulation are available on request.

Hong Kong SAR: Distributed by Deutsche Bank AG, Hong Kong Branch except for any research content relating to futures contracts within the meaning of the Hong Kong Securities and Futures Ordinance Cap. 571. Research reports on such futures contracts are not intended for access by persons who are located, incorporated, constituted or resident in Hong Kong. The author(s) of a research report , and the entities for which they act and/or are affiliated with, may not be licensed to carry on regulated activities in Hong Kong and, if not licensed, do not hold themselves out as being able to do so. The provisions set out above in the 'Additional Information' section shall apply to the fullest extent permissible by local laws and regulations, including without limitation the Code of Conduct for Persons Licensed or Registered with the Securities and Futures Commission. This report is intended for distribution only to 'professional investors' as defined in Part 1 of Schedule of the SFO. This document must not be acted or relied on by persons who are not professional investors. Any investment or investment activity to which this document relates is only available to professional investors and will be engaged only with professional investors.

India: Prepared by Deutsche Equities India Private Limited (DEIPL) having CIN: U65990MH2002PTC137431 and registered office at 14th Floor, The Capital, C-70, G Block, Bandra Kurla Complex, Mumbai (India) 400051. Tel: + 91 22 7180 4444. It is registered by the Securities and Exchange Board of India (SEBI) as a Stock broker bearing registration no.: INZ000252437; Merchant Banker bearing SEBI Registration no.: INM000010833 and Research Analyst bearing SEBI Registration no.: INH000001741. DEIPL's Compliance / Grievance officer is Ms. Rashmi Poddar (Tel: +91 22 7180 4929 email ID: complaints.deipl@db.com). Registration granted by SEBI and certification from NISM in no way guarantee performance of DEIPL or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. DEIPL may have received administrative warnings from the SEBI for breaches of Indian regulations. Deutsche Bank and/or its affiliate(s) may have debt holdings or positions in the subject company. With regard to information on associates, please refer to the "Shareholdings" section in the Annual Report at: https://www.db.com/ir/en/annual-reports.htm. For latest India research audit report, refer https://country.db.com/india/deutsche-equities-india/index?language_id=1.

Japan: Approved and/or distributed by Deutsche Securities Inc.(DSI). Registration number - Registered as a financial instruments dealer by the Head of the Kanto Local Finance Bureau (Kinsho) No. 117. Member of associations: JSDA, Type II Financial Instruments Firms Association and The Financial Futures Association of Japan. Commissions and risks involved in stock transactions - for stock transactions, we charge stock commissions and consumption tax by multiplying the transaction amount by the commission rate agreed with each customer. Stock transactions can lead to losses as a result of share price fluctuations and other factors. Transactions in foreign stocks can lead to additional losses stemming from foreign exchange fluctuations. We may also charge commissions and fees for certain categories of investment advice, products and services. Recommended investment strategies, products and services carry the risk of losses to principal and other losses as a result of changes in market and/or economic trends, and/or fluctuations in market value. Before deciding on the purchase of financial products and/or services, customers should carefully read the relevant disclosures, prospectuses and other documentation. 'Moody's', 'Standard Poor's', and 'Fitch' mentioned in this report are not registered credit rating agencies in Japan unless Japan or 'Nippon' is specifically designated in the name of the entity. Reports on Japanese listed companies not written by analysts of DSI are written by Deutsche Bank Group's analysts with the coverage companies specified by DSI. Some of the foreign securities stated on this report are not disclosed according to the Financial Instruments and Exchange Law of Japan. Target prices set by Deutsche Bank's equity analysts are based on a 12-month forecast period.

Korea: Distributed by Deutsche Securities Korea Co.

South Africa: Deutsche Bank AG Johannesburg is incorporated in the Federal Republic of Germany (Branch Register Number in South Africa: 1998/003298/10).

Singapore: This report is issued by Deutsche Bank AG, Singapore Branch (One Raffles Quay #18-00 South Tower Singapore 048583, 65 6423 8001), which may be contacted in respect of any matters arising from, or in connection with, this report. Where this report is issued or promulgated by Deutsche Bank in Singapore to a person who is not an accredited investor, expert investor or institutional investor (as defined in the applicable Singapore laws and regulations), they accept legal responsibility to such person for its contents.

Taiwan: Information on securities/investments that trade in Taiwan is for your reference only. Readers should independently evaluate investment risks and are solely responsible for their investment decisions. Deutsche Bank research may not be distributed to the Taiwan public media or quoted or used by the Taiwan public media without written consent. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation to trade in such securities/instruments.

Qatar: Deutsche Bank AG in the Qatar Financial Centre (registered no. 00032) is regulated by the Qatar Financial Centre Regulatory Authority. Deutsche Bank AG - QFC Branch may undertake only the financial services activities that fall within the scope of its existing QFCRA license. Its principal place of business in the QFC: Qatar Financial Centre, Tower, West Bay, Level 5, PO Box 14928, Doha, Qatar. This information has been distributed by Deutsche Bank AG. Related financial products or services are only available only to Business Customers, as defined by the Qatar Financial Centre Regulatory Authority.

Russia: The information, interpretation and opinions submitted herein are not in the context of, and do not constitute, any appraisal or evaluation activity requiring a license in the Russian Federation.

Kingdom of Saudi Arabia: Deutsche Securities Saudi Arabia (DSSA) is a closed joint stock company authorized by the Capital Market Authority of the Kingdom of Saudi Arabia with a license number (No. 37-07073) to conduct the following business activities: Dealing, Arranging, Advising, and Custody activities. DSSA registered office is Faisaliah Tower, 17th Floor, King Fahad Road - Al Olaya District Riyadh, Kingdom of Saudi Arabia P.O. Box 301806.

United Arab Emirates: Deutsche Bank AG in the Dubai International Financial Centre (registered no. 00045) is regulated by the Dubai Financial Services Authority. Deutsche Bank AG - DIFC Branch may only undertake the financial services activities that fall within the scope of its existing DFSA license. Principal place of business in the DIFC: Dubai International Financial Centre, The Gate Village, Building 5, PO Box 504902, Dubai, U.A.E. This information has been distributed by Deutsche Bank AG. Related financial products or services are available only to Professional Clients, as defined by the Dubai Financial Services Authority.

Australia and New Zealand: This research is intended only for 'wholesale clients' within the meaning of the Australian Corporations Act and New Zealand Financial Advisors Act, respectively. Please refer to Australia-specific research disclosures and related information at https://www.dbresearch.com/PROD/RPS_EN-PROD/PROD0000000000521304.xhtml . Where research refers to any particular financial product recipients of the research should consider any product disclosure statement, prospectus or other applicable disclosure document before making any decision about whether to acquire the product. In preparing this report, the primary analyst or an individual who assisted in the preparation of this report has likely been in contact with the company that is the subject of this research for confirmation/clarification of data, facts, statements, permission to use company-sourced material in the report, and/or site-visit attendance. Without prior approval from Research Management, analysts may not accept from current or potential Banking clients the costs of travel, accommodations, or other expenses incurred by analysts attending site visits, conferences, social events, and the like. Similarly, without prior approval from Research Management and Anti-Bribery and Corruption ("ABC") team, analysts may not accept perks or other items of value for their personal use from issuers they cover.

Additional information relative to securities, other financial products or issuers discussed in this report is available upon request. This report may not be reproduced, distributed or published without Deutsche Bank's prior written consent.

Backtested, hypothetical or simulated performance results have inherent limitations. Unlike an actual performance record based on trading actual client portfolios, simulated results are achieved by means of the retroactive application of a backtested model itself designed with the benefit of hindsight. Taking into account historical events the backtesting of performance also differs from actual account performance because an actual investment strategy may be adjusted any time, for any reason, including a response to material, economic or market factors. The backtested performance includes hypothetical results that do not reflect the reinvestment of dividends and other earnings or the deduction of advisory fees, brokerage or other commissions, and any other expenses that a client would have paid or actually paid. No representation is made that any trading strategy or account will or is likely to achieve profits or losses similar to those shown. Alternative modeling techniques or assumptions might produce significantly different results and prove to be more appropriate. Past hypothetical backtest results are neither an indicator nor guarantee of future returns. Actual results will vary, perhaps materially, from the analysis.

The method for computing individual E,S,G and composite ESG scores set forth herein is a novel method developed by the Research department within Deutsche Bank AG, computed using a systematic approach without human intervention. Different data providers, market sectors and geographies approach ESG analysis and incorporate the findings in a variety of ways. As such, the ESG scores referred to herein may differ from equivalent ratings developed and implemented by other ESG data providers in the market and may also differ from equivalent ratings developed and implemented by other divisions within the Deutsche Bank Group. Such ESG scores also differ from other ratings and rankings that have historically been applied in research reports published by Deutsche Bank AG. Further, such ESG scores do not represent a formal or official view of Deutsche Bank AG. It should be noted that the decision to incorporate ESG factors into any investment strategy may inhibit the ability to participate in certain investment opportunities that otherwise would be consistent with your investment objective and other principal investment strategies. The returns on a portfolio consisting primarily of sustainable investments may be lower or higher than portfolios where ESG factors, exclusions, or other sustainability issues are not considered, and the investment opportunities available to such portfolios may differ. Companies may not necessarily meet high performance standards on all aspects of ESG or sustainable investing issues; there is also no guarantee that any company will meet expectations in connection with corporate responsibility, sustainability, and/or impact performance.

David Folkerts-Landau

Group Chief Economist and Global Head of Research

Pam Finelli COO and Head of Fixed Income Research	Steve Pollard Global Head of Company Research and Sales	Jim Reid Global Head of Macro and Thematic Research	Tim Rokossa Head of European Company Research
Matthew Barnard Head of Americas Company Research	Debbie Jones Global Head of Sustainability and Data Innovation, Research	Robin Winkler Head of German Macro Research	Sameer Goel Global Head of EM & APAC Research
Francis Yared Global Head of Rates Research	George Saravelos Global Head of FX Research	Peter Hooper Vice-Chair of Research	Nilendra de-Mel Head of APAC & Middle East Product Development

International Production Locations

Deutsche Bank AG
Deutsche Bank Place
Level 16
Corner of Hunter & Phillip Streets
Sydney, NSW 2000
Australia
Tel: (61) 2 8258 1234

Deutsche Bank AG
Equity Research
Mainzer Landstrasse 11-17
60329 Frankfurt am Main
Germany
Tel: (49) 69 910 00

Deutsche Bank AG
Filiale Hongkong
International Commerce Centre,
1 Austin Road West,Kowloon,
Hong Kong
Tel: (852) 2203 8888

Deutsche Securities Inc.
1-3-1 Azabudai
Azabudai Hills Mori JP Tower
Minato-ku, Tokyo 106-0041
Japan
Tel: (81) 3 6730 1000

Deutsche Bank AG
21 Moorfields
London EC2Y 9DB
United Kingdom
Tel: (44) 20 7545 8000

Deutsche Bank Securities Inc.
The Deutsche Bank Center
1 Columbus Circle
New York, NY 10019
Tel: (1) 212 250 2500

Deutsche Bank AG
Filiale Singapur
One Raffles Quay, South Tower,
Singapore 048583
TeL: +65 6423 8001